



MGT301 (8MID TERM) 2010 PAPERS

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Paper 1

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing

Question No: 1 (Marks: 1) - Please choose one

Your firm has just developed its first successful MIS. It interacts with information users to assess information needs, develop needed information, _____ the marketing information and help managers use it in their decision making.

► **Distribute**

- Collect
- Retrieve
- Store

Chapter 4 (question 3)

Q#4 <http://wenku.baidu.com/view/0c607d4ce518964bcf847c86.html>

Question No: 2 (Marks: 1) - Please choose one

People are expected to perform activities according to the persons around them. These activities reflect which one of the following concept?

- ▶ Motive
- ▶ **Role**
- ▶ Lifestyle
- ▶ Tradition

A role consists of the activities people are expected to perform according to the persons around them.

<http://faculty.sheltonstate.edu/~tmajor/BUS285/Outlines/ch05outline.pdf>

Question No: 3 (Marks: 1) - Please choose one

Companies are refraining to use poisonous gases in the manufacturing of their products to prevent damage to the environment. The companies are trying to follow:

- ▶ Production Concept
- ▶ Product Concept
- ▶ Marketing Concept

▶ **Societal Marketing Concept**

(page 51)

http://books.google.com/books?id=PnERvpCI5QYC&pg=PA51&dq=societal+marketing+concept&hl=en&ei=wKGBTZyhMsPhrAfUINGyBw&sa=X&oi=book_result&ct=result&resnum=2&sqi=2&ved=0CC0Q6AEwAQ#v=onepage&q=societal%20marketing%20concept&f=false

Question No: 4 (Marks: 1) - Please choose one

If Proctor and Gamble need to know what percentage of customers examines product labels before making a product selection in the supermarket? By which method this study would be accomplished?

- ▶ Focus groups
- ▶ Mail surveys
- ▶ Personal interviews

▶ **Observations**

(Q#20) <http://www.scribd.com/doc/27111863/Marketing-Research-and-Information-Systems-Section-A>

Question No: 5 (Marks: 1) - Please choose one

Advertising agencies are an example of which of the following marketing intermediaries?

- ▶ Insurance company
- ▶ Financial intermediary
- ▶ **Marketing services agency**
- ▶ Physical distribution firm

(page 43) **Marketing service agencies (such as marketing research firms, advertising agencies, media firms, etc.) help the company target and promote its products**

Question No: 6 (Marks: 1) - Please choose one

Through which process individuals and groups obtain what they need and want by creating and exchanging products and value with others?

- ▶ Production process
- ▶ Marketing process
- ▶ **Managerial process**
- ▶ accounting process

(page 1) **Marketing is defined as a social and managerial process by which, individuals and groups obtain what they need and want through creating and exchanging products and value with others.**

Question No: 7 (Marks: 1) - Please choose one

Which one of the following scheme is TRUE regarding marketing research in sequence?

- ▶ **Gathering data, analysis, interpretation**
- ▶ Analysis, gathering data, interpretation
- ▶ Interpretation, gathering data, analysis
- ▶ Interpretation, reporting, analysis

<http://www.quickmba.com/marketing/research/>

Question No: 8 (Marks: 1) - Please choose one

Which method of research can be used to obtain information if people are unwilling or unable to provide?

- ▶ **Observations**
- ▶ Focus groups
- ▶ Personal interviews
- ▶ Questionnaires

(page 56) **Observational research can be used to obtain information that people are unwilling or unable to provide.**

Question No: 9 (Marks: 1) - Please choose one

When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

- ▶ **Not-for-profit marketing**
- ▶ Mindless marketing
- ▶ Ethics in marketing
- ▶ Societal marketing

(Q#6)<http://flashcarddb.com/cardset/77455-marketing-flashcards>

Question No: 10 (Marks: 1) - Please choose one

Sampling requires the answer to three questions. Which of the following is an inappropriate one?

- ▶ Who is to be sampled (what sampling unit)?
- ▶ How many people should be surveyed (what sample size)?
- ▶ **Why should they be sampled (justification)?**
- ▶ How should the people be chosen (what sampling method)?

(page 57) **Designing a sample calls for three decisions:**

- a. **Who** is to be surveyed (what **sampling unit**)?
- b. **How many** people should be surveyed (what **sample size**)?
- c. **How** should the sample be **chosen** (what **sampling procedure**)?

Question No: 11 (Marks: 1) - Please choose one

Relationship marketing is a consistent application of up to date knowledge of individual customers to product and service design. Why it is communicated interactively to customers?

- ▶ For delivering short term value & satisfaction to customers
- ▶ **For delivering long term value & satisfaction to customers**
- ▶ For delivering short term value to management
- ▶ For delivering long term value to management

The consistent application of up-to-date knowledge of individual customers to product and service design In order to develop a continuous and long-term relationship No Slide Title - *Marketing Teacher*
<http://www.davechaffey.com/E-marketing-Glossary/Relationship-marketing.htm>

Question No: 12 (Marks: 1) - Please choose one

Demographic segmentation divides the market into groups based on which of the following variables?

- ▶ Size, location, industry, customer
- ▶ Size, company, industry, technology
- ▶ **Location, size, occupation, race**
- ▶ Customer, technology, company, industry

(page 57)Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, and nationality.

Question No: 13 (Marks: 1) - Please choose one

When the size, purchasing power and profiles of business market segments can be determined, they are said to possess the requirement of being what?

- ▶ **Measurable**
- ▶ Accessible
- ▶ Substantial
- ▶ Actionable

P#228,, Measurable:Size, purchasing power, profiles of segments can be measured

Question No: 14 (Marks: 1) - Please choose one

Which one of the following sets reflects the marketing strategy statement in new product development?

- ▶ **Idea generation; idea screening; concept development**
- ▶ Idea generation; concept development; concept testing
- ▶ Target market description; planned product positioning; sales goals
- ▶ Idea generation; test marketing; commercialization

The new-product development process consists of eight stages: idea generation, idea screening, concept development and testing, marketing strategy development

Question No: 15 (Marks: 1) - Please choose one

The concepts of exchange and relationships lead to the concept of a market. Which one of the following sets reflects the market?

- ▶ **Actual buyers & Potential buyers**
- ▶ Whole sellers & Retailers

- ▶ Consumers & Customers
- ▶ Agents & Brokers

The concepts of exchange and relationships lead to the concept of a market. A market is the set of actual and potential buyers of a product

Question No: 16 (Marks: 1) - Please choose one

Which one of the following sets represents 4 C's of the marketing mix?

▶ **Customer solution, cost, convenience, communication**

- ▶ Customer, cost, convenience, comfort
- ▶ Convenience, communication, coverage, cost
- ▶ Cost, coverage, communication, consultancy

4). Perhaps a better classification would be the 4 Cs:

- a). Product = Customer Solution.
- b). Price = Customer Cost.
- c). Place = Convenience.
- d). Promotion = Communication.

Question No: 17 (Marks: 1) - Please choose one

Supply's sales force of ABC Company continues to expand, the firm plans to add a fleet of company cars to its sales compensation package. For ABC Company, this would represent which one of the following purchases?

▶ **New-task**

- ▶ Modified rebuy
- ▶ Straight rebuy
- ▶ Repetitive

(Q#13)<http://www.scribd.com/doc/27111875/Organisational-Markets-and-Buying-Behaviour-Section-A>

Question No: 18 (Marks: 1) - Please choose one

The Cost to attract a new customer is how much more than to keep a current customer satisfied.

▶ **5 to 10 times**

- ▶ 6 to 12 times
- ▶ 10 to 20 times
- ▶ 10 to 15 times

(page18)

http://books.google.com.pk/books?id=Lx5dxjc_Kq0C&pg=PA207&lpg=PA207&dq=Which+of+the+following+are+the+products+bought+by+individuals+and+organizations+for+further+processing+or+for+use+in+conducting+a+business%3F&source=bl&ots=xbEGBr0aWO&sig=EPiR9ZLiXk1iATwkita2wgUAOCc&hl=en&ei=JSkSTf2_NouOjAekkKn2BQ&sa=X&oi=book_result&ct=result&resnum=5&ved=0CDMQ6AEwBA#v=snippet&q=Cost%20to%20attract%20a%20new%20customer%20&f=false

Question No: 19 (Marks: 1) - Please choose one

XYZ retail store tries to satisfy all its customers and makes every effort in achieving its sales. This is because they believe that losing a customer means not only losing a single sale but the entire stream of purchase that customer will make in his life time of patronage. This phenomenon is known as:

▶ **Customer Lifetime Value**

- ▶ Customer Equity

- ▶ Superior Customer Value
- ▶ Customer Satisfaction

6. _____ is an important concept when we realize that losing a customer means losing more than a single sale. It means losing the entire stream of purchases that the customer would make over a lifetime of patronage.

- a. Heuristics
- b. Net profit
- c. Customer lifetime value
- d. Relationship marketing

(c; Moderate) [Revision questions - :: Centre for Diploma Programmes - Multimedia ...](#)

Question No: 20 (Marks: 1) - Please choose one

Which one of the following options refers to “The art and science of choosing target markets and building profitable relationships”?

- ▶ Customer relationship management
- ▶ Knowledge management
- ▶ Total quality management
- ▶ **Marketing management**

P#14,,Marketing Management: Marketing management is “the art and science of choosing target markets and building profitable relationships with them.”

Question No: 21 (Marks: 1) - Please choose one

In Boston Consulting Group approach, which one of the following options provides a measure of market attractiveness?

▶ **Business portfolio**

- ▶ Market share
- ▶ Market growth rate
- ▶ Relative market share

P#31Analyzing the Current Business Portfolio: The second step is to assess the attractiveness of its various SBUs and decide how much support each deserves. The best-known portfolio planning method is the Boston ConsultingGroup (BCG) matrix:

Question No: 22 (Marks: 1) - Please choose one

The process in which individuals or groups select, purchase, use or dispose of products, services, ideas or experiences to satisfy needs and desires is known as:

- ▶ All of the given options

▶ **Consumer behavior**

- ▶ Supplier behavior
- ▶ Organizational behavior

P#60,,Consumer Behavior

Consumer behavior is the process through which the ultimate buyer makes purchase decisions.This can be defined as the processes involved when individuals or groups select, purchase, use, or dispose of products, services, ideas, or experiences to satisfy needs and desires (Solomon, 1996).

Question No: 23 (Marks: 1) - Please choose one

Brand created and owned by the producer of a product or service is called:

▶ **National Brand**

- ▶ Private Brand
- ▶ License Brand
- ▶ Co-branding

P#97,,A manufacturer's brand (or national brand) is a brand created and owned by the producer of a product or service (Examples include IBM and Kellogg).

Question No: 24 (Marks: 1) - Please choose one

Marketing management functions in ascending order are:

- ▶ Control – implementation – market planning
- ▶ Market planning – control – implementation
- ▶ Implementation – control – market planning
- ▶ **Marketing planning – implementation - control**

P#37,,This involves four marketing management functions. The four functions are: analysis, planning, implementation, and control

Question No: 25 (Marks: 1) - Please choose one

The marketing mix consists of the four Ps: product, price, place, and promotion. In this modern marketing era, these tools might be more appropriately named the four Cs:

Customer solution, Customer cost, Communication and _____.

- ▶ Customer control
- ▶ **Convenience**
- ▶ Consideration
- ▶ Customer relationship

4). Perhaps a better classification would be the 4 Cs:

- a). Product = Customer Solution.
- b). Price = Customer Cost.
- c). Place = Convenience.
- d). Promotion = Communication.

Question No: 26 (Marks: 1) - Please choose one

Launching a product in a small part of the market is called:

- ▶ **Test marketing**
- ▶ Product testing
- ▶ Marketing analysis
- ▶ All of the given

(page180)

http://books.google.com/books?id=O5gAIP8G2woC&pg=PA180&lpg=PA180&dq=Launching+a+product+in+a+small+part+of+the+market+is+called+Test+marketing&source=bl&ots=JLKrYRIOha&sig=tbD0-jBMprP0RoIEVpW3-dQQITI&hl=en&ei=f1SBTcWoEsOsrAejw9WzBw&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCcQ6AEwAg#v=onepage&q=Launching%20a%20product%20in%20a%20small%20part%20of%20the%20market%20is%20called%20Test%20marketing&f=false

Question No: 27 (Marks: 1) - Please choose one

The Planning which is concerned with translating the general goals and plans developed by strategic managers into objectives that are more specific is called:

- ▶ Strategic Planning
- ▶ **Tactical Planning**
- ▶ Operational Planning
- ▶ Mission Planning

tactical Planning: Tactical planning is concerned with translating the general goals and

plans developed by strategic managers into objectives that are more specific and activities.

Question No: 28 (Marks: 1) - Please choose one

In a business market the buyer has to make the most amount of decisions while making a:

- ▶ Straight rebuy
- ▶ **New task**
- ▶ Modified rebuy
- ▶ None of the given options

The buyer makes the fewest decisions in the straight rebuy and the most in the new-task decision. <http://gmx.xmu.edu.cn/ews/business/pmarketing/chapter06.htm>

Question No: 29 (Marks: 1) - Please choose one

Manufacturers of surf excel are successful in making their product occupy a desirable place in the hearts of its customers. Now surf excel is considered as a powerful all purpose family detergent. The marketers have successfully _____ its product.

- ▶ Differentiated
- ▶ Targeted
- ▶ **Positioned**
- ▶ Segmented

P#88,,Tide is positioned as a powerful, all-purpose family detergent; In the automobile market, Toyota and Subaru are positioned on economy, Mercedes and Cadillac on luxury Consumers are overloaded with information about products and services.

Question No: 30 (Marks: 1) - Please choose one

XYZ companying is designing different products for different age groups. They are keeping in mind the needs, wants and demands of the different age groups so that their product would prove successful and profitable. XYZ is practicing

- ▶ Mass marketing
- ▶ Segment marketing
- ▶ **Niche marketing(review again)**
- ▶ All of the given options

Question No: 31 (Marks: 1) - Please choose one

A good package may:

- ▶ **Protect the product**
- ▶ Help to sell the product
- ▶ Raise total distribution cost
- ▶ All of the given options

Packaging used to just contain and protect the product.

packaging also may reduce total distribution costs. An attractive package may speed turnover so that total costs will decline as a percentage of sales.

<http://jupapadoc.startlogic.com/compresearch/papers/JCR10-3.pdf>

Question No: 32 (Marks: 1) - Please choose one

Which of the following steps in strategic planning occurs at the business unit level rather than the corporate level?

- ▶ Defining the company mission
- ▶ **Planning marketing strategies**
- ▶ Setting companies objectives and goals

- ▶ Designing the business portfolio

(Handout page 29)

(Q#3)http://wps.prenhall.com/bp_armstrong_mai_7/19/5037/1289678.cw/index.html

Question No: 33 (Marks: 1) - Please choose one

Which of the following options refers to “New Products”?

- ▶ Product modifications
- ▶ Product improvements
- ▶ New brands that a firm develops

▶ **All of the given options**

P#101,,By new products we mean original products, product improvements, product modifications, and new brands that the firm develops through its own research and development efforts.

Question No: 34 (Marks: 1) - Please choose one

A political force is one of the actors of marketing macro environment. It is difficult for the marketers to deal with the political environment because:

- ▶ It is simple to recognize
- ▶ **It is beyond their control**
- ▶ It is easily ignored
- ▶ It is easily influenced

Paper 2

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session - 6)

Time: 60 min

Marks: 47

Question No: 1 (Marks: 1) - Please choose one

If XYZ Insurance Company observes a sudden increase in the number of farmers seeking flood insurance in Pakistan due to major floods in India, Which one of the following is representing flood situation for the company?

▶ **Marketing opportunity**

- ▶ Marketing strategy
- ▶ Marketing concept
- ▶ Marketing threat

<http://www.d17.net/farm-insurance/mba-questionf-erin-farm-insurance-saw-a-sudden-increase-in-the-number-of-farmer>

Question No: 2 (Marks: 1) - Please choose one

If a local company wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

- ▶ Focusing on today is important for us
- ▶ Making money is our business
- ▶ **The customer is always right**
- ▶ Keeping prices low is our objective

(Handout page 20)

<http://www.netmba.com/marketing/concept/>

The *marketing concept* is the philosophy that firms should analyze the needs of their customers and then make decisions to satisfy those needs, better than the competition.

<http://www.referenceforbusiness.com/management/Mar-No/Marketing-Concept-and-Philosophy.html>

Question No: 3 (Marks: 1) - Please choose one

The digital age will fundamentally change customers' thinking of convenience, speed, price, product information and service. This new consumer thinking will affect which one of the following businesses?

- ▶ A few businesses
- ▶ **Every business**
- ▶ Established businesses
- ▶ Starting up businesses

Chapter 3

1. The new model will fundamentally change customers' notions of convenience, speed, price, product information, and service. This new consumer thinking will affect _____.

- a. a few businesses
- b. every business
- c. established businesses
- d. starting up businesses

(b; Easy; p. 74)

Question No: 4 (Marks: 1) - Please choose one

Which of the following is an intensive growth strategy of increasing sales in current markets with current products?

- ▶ Market development
- ▶ **Market penetration**
- ▶ Product development
- ▶ Market saturation

(page 32)

http://books.google.com/books?id=d_CyGUpYBYwC&pg=PA32&lpg=PA32&dq=Market+penetration+is+an+intensive+growth+strategy+of+increasing+sales+in+current+markets+with+current+products&source=bl&ots=Svl3Ouxlrp&sig=XFOLRqDJERYjAAaB-FNs2AGOVaM&hl=en&ei=6zuCTdiqC9DirAfr2lm8CA&sa=X&oi=book_result&ct=result&resnum=6&ved=0CDkQ6AEwBQ#v=onepage&q=Market%20penetration%20is%20an%20intensive%20growth%20strategy%20of%20increasing%20sales%20in%20current%20markets%20with%20current%20products&f=false

Question No: 5 (Marks: 1) - Please choose one

Beliefs and values that are passed on from parents to children and are reinforced by schools, churches, business and government refer to which of the following beliefs and values?

- ▶ Crucial
- ▶ **Core**
- ▶ Secondary
- ▶ Primary

(page 47) Core beliefs and values are passed on from parents to children and are reinforced by schools, churches, business, and government.

Question No: 6 (Marks: 1) - Please choose one

Which one of the following factor influences the consumer buying decision process?

▶ Person-specific

▶ **Social**

▶ Demographic

▶ Situational

(Q#8) <http://www.scribd.com/doc/27111825/Consumer-Buying-Behaviour-Section-A>

Question No: 7 (Marks: 1) - Please choose one

The receptionist at a doctor's office throws away certain product circulars mailed by pharmaceutical companies and keeps the ones on products she believes are useful. The receptionist is performing which role in the buying centre?

▶ Influencer

▶ Buyer

▶ Decider

▶ **Gatekeeper**

(Q#16) <http://www.scribd.com/doc/27111875/Organisational-Markets-and-Buying-Behaviour-Section-A>

Question No: 8 (Marks: 1) - Please choose one

ABC Company divides the pet market according to the owners' race, occupation, income and family life cycle. Which of the following types of segmentation is being used by the Company?

▶ Occasion

▶ Age and life cycle

▶ **Demographic**

▶ Psychographic

(Q#3) http://wps.pearsoned.co.uk/ema_uk_he_harker_mktgintro_1/127/32608/8347780.cw/content/index.html

Question No: 9 (Marks: 1) - Please choose one

When Burger King targets different groups from children and teens to adults and seniors with different ads and media, it is practicing which one of the following segmentation?

▶ Demographic

▶ **Age and life cycle**

▶ Psychographic

▶ Behavioral

Chapter 7

8. When Burger King targets different groups—from children and teens to adults and seniors—with different ads and media, it is practicing _____ segmentation.

a. demographic

b. age and life cycle

c. psychographic

d. behavioral

e. end-use

(Answer: b; p. 167; Moderate)

Question No: 10 (Marks: 1) - Please choose one

A period of rapid market acceptance and increasing profits refers to which of the following stages of the product life cycle?

- ▶ Decline
- ▶ **Growth**
- ▶ Maturity
- ▶ Introduction

Growth is a period of rapid market acceptance and increasing profits.

http://www.zainbooks.com/books/marketing/principles-of-marketing_22_product-lifecycle.html

Question No: 11 (Marks: 1) - Please choose one

Fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to fatness that harms consumer health. Which one of the following concepts is **NOT** being followed by this company?

- ▶ Product concept
- ▶ Production concept
- ▶ **Societal marketing concept**
- ▶ Marketing concept

Chapter 1

1. According to the authors of your text, fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to a national obesity epidemic that harms consumer health and causes environmental problems in the long run. This statement reflects that they often overlook the _____ business philosophy.

- a. marketing concept
- b. product concept
- c. production concept
- d. societal marketing concept
- e. new-idea

(Answer: d; p. 11; Moderate)

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is a chief goal of the implementation function in marketing process?

- ▶ Develops marketing plans
- ▶ **Turns plans into actions**
- ▶ Takes corrective actions
- ▶ Develops strategic plans

http://www.zainbooks.com/books/marketing/principles-of-marketing_10_marketing-process.html

Marketing Implementation is the process that turns marketing plans into marketing actions in order to accomplish strategic marketing objectives

Question No: 13 (Marks: 1) - Please choose one

Which one of the following are the **MOST** useful source of speedier and more comprehensive information?

- ▶ Suppliers
- ▶ Key customers
- ▶ **Company reports**
- ▶ Sales force

(page 52) Many companies have developed advanced computer-based internal reports systems to allow for speedier and more comprehensive information

Question No: 14 (Marks: 1) - Please choose one

Which one of the following sets represents 4 C's of the marketing mix?

- ▶ **Customer solution, cost, convenience, communication**
- ▶ Customer, cost, convenience, comfort
- ▶ Convenience, communication, coverage, cost
- ▶ Cost, coverage, communication, consultancy

(page 37) Perhaps a better classification would be the 4 Cs:

a). Product = Customer Solution.

b). Price = Customer Cost.

c). Place = Convenience.

d). Promotion = Communication.

Question No: 15 (Marks: 1) - Please choose one

When Nokia introduced its new mobile set in the market in response to consumer demand, it was applying which one of the following concepts?

- ▶ Selling concept
- ▶ Production concept
- ▶ Customer concept
- ▶ **Marketing concept**

This customer focused philosophy is known as the 'marketing concept'. The marketing concept is a philosophy, not a system of marketing or an organizational structure. It is founded on the belief that profitable sales and satisfactory returns on investment can only be achieved by identifying, anticipating and satisfying customer needs and desires

Question No: 16 (Marks: 1) - Please choose one

ABC Company wants to learn about consumer attitudes toward mail order purchases and conducts a study to acquire this information. Which one of the following data would **BEST** be classified for this study?

- ▶ Causal
- ▶ Experimental
- ▶ **Primary**
- ▶ Secondary

(Q#6) <http://www.scribd.com/doc/27111863/Marketing-Research-and-Information-Systems-Section-A>

Question No: 17 (Marks: 1) - Please choose one

Demographic forces, Economic forces, Natural forces, Technological forces are included in the company's:

- ▶ Marketing environment
- ▶ Microenvironment
- ▶ **Macro environment**

- ▶ All of the given options

(page 225) The macro-environmental components are thought to be: demographic, economic, natural, technological, political, and cultural forces.

Question No: 18 (Marks: 1) - Please choose one

Customer relationship management helps to deliver:

▶ All of the given options

- ▶ Superior Customer Value
- ▶ Customer Loyalty
- ▶ Customer Satisfaction

P#15,,CRM Customer relationship management “CRM is the overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.”

Question No: 19 (Marks: 1) - Please choose one

When competition is intense and there are many manufacturers then the buyer has more options of product switching. This is represented in Porters model as:

- ▶ Threat of Substitute

▶ Bargaining power of buyers

- ▶ Bargaining power of suppliers
- ▶ Rivalry among competing firms

• **Bargaining Power of Buyers:** When competition is intense and number of manufacturer is greater the buyer have more options for product switching over this will increase the buying power of buyer

http://www.zainbooks.com/books/marketing/principles-of-marketing_7_marketing-challenges.html

Question No: 20 (Marks: 1) - Please choose one

What are we going to do? And, how are we going to do it? In which of the following categories do these two questions fall?

- ▶ Researching

▶ Planning

- ▶ Controlling
- ▶ Managing

what are we going to do and how are we going to do it? Organizations, which are not able to perform the effective planning, are actually planning for failures PG NO 28

Question No: 21 (Marks: 1) - Please choose one

Which of the following steps in strategic planning occurs at the business unit level rather than the corporate level?

- ▶ Defining the company mission

▶ Planning marketing strategies

- ▶ Setting companies objectives and goals
- ▶ Designing the business portfolio

(Handout page 29)

Question No: 22 (Marks: 1) - Please choose one

Environmental groups are included in which of the following publics?

▶ Citizen-action publics

- ▶ Media publics
- ▶ Government publics
- ▶ Local publics

(page63)

http://books.google.com/books?id=Lx5dxjc_Kq0C&pg=PR28&dq=principle+of+marketing+kotler+13th&hl=en&ei=JjqCTZSvDs_IrQfhqc3dCA&sa=X&oi=book_result&ct=result&resnum=8&ved=0CFUQ6AEwBw#v=onepage&q=Environmental%20groups%20&f=false

Question No: 23 (Marks: 1) - Please choose one

Which one of the following environment depicts consumer purchasing power and spending patterns?

- ▶ Demographic environment
- ▶ Cultural environment
- ▶ **Economic environment**
- ▶ Consumer environment

Chapter 1

2. The _____ environment consists of factors that affect consumer purchasing power and spending patterns.

- a. social-cultural
- b. political-legal
- c. technological
- d. economic
- e. natural

(Answer: d; p. 79; Easy)

Question No: 24 (Marks: 1) - Please choose one

Mr. X wants to conduct a marketing research. He has limited resources and he needs to collect large amounts of information. Mr. X should adopt which of the following contact method?

- ▶ **Mail questionnaire**
- ▶ Telephone interviewing
- ▶ Personal interviewing
- ▶ Computer interviewing

Question No: 25 (Marks: 1) - Please choose one

Each culture contains smaller subcultures, which can be defined as:

- ▶ Personality characteristics of a consumer
- ▶ The motives that people have for their behavior
- ▶ **Shared value systems based on common life experiences**
- ▶ Geographic regions and income levels

P#64,,Each culture contains smaller subcultures or groups of people with shared value systems based on common life experiences and situations

Question No: 26 (Marks: 1) - Please choose one

Which of the following units would most likely be considered in the study of consumer behavior?

- ▶ Competitors
- ▶ Suppliers
- ▶ Individuals
- ▶ **None of the given options**

P#60,,Why to Study Consumer Behavior:

Basic objective of the studying consumer behavior is that the firm needs to know who buys their product? How they buy? When and where they buy? Why they buy? How they respond to marketing stimuli. Because they study consumer behavior (CB) what Consumer Behavior is about? How, why, where and when consumers make purchase decisions? Considers who influences the decisions? What is Consumer Behavior about? All these are important questions, which are to be known to the companies so that they can design, and implement marketing strategies to satisfy the customers. Consumers determine the sales and profits of a firm by their purchase decisions, thus the economic viability of the firm.

Question No: 27 (Marks: 1) - Please choose one

The firms that buy goods and services in order to produce products and services to sell to others are called:

► **Business markets**

- Consumer markets
- International markets
- None of the given options

The business market includes firms that buy goods and services in order to produce products and services to sell to others. P#74

Question No: 28 (Marks: 1) - Please choose one

Business demand is usually _____.

► **Derived**

- Steady
- Predictable
- Unpredictable

Business markets have derived demand (business demand that ultimately comes from or derives from the demand for consumer goods)P#74

Question No: 29 (Marks: 1) - Please choose one

Identify the other market offerings marketers have broadened the concept of "product" to include.

► **Organizations, persons and places**

- Ideas, services and organization
- Places, organizations and times
- None of the given options

http://books.google.com/books?id=Lx5dxjc_Kq0C&pg=PR28&dq=principle+of+marketing+kotler+13th&hl=en&ei=JjqCTZSvDs_IrQfhqc3dCA&sa=X&oi=book_result&ct=result&resnum=8&ved=0CFUQ6AEwBw#v=onepage&q=broadened%20the%20concept%20of%20%22product&f=false

Question No: 30 (Marks: 1) - Please choose one

A good package may:

► **Protect the product**

- Help to sell the product
- Raise total distribution cost

All of the given options

Question No: 31 (Marks: 1) - Please choose one

The positive differential effect that knowing the brand name has on customer response to the product or service is known as _____

► **Brand Equity**

- Brand Positioning
- Brand Loyalty
- None of the given

<http://www.google.com/search?tbm=bks&tbo=1&q=positive+differential+effect+that+knowing+the+brand+name+has+on+customer+response+to+the+product+or+service+&btnG=Search+Books>

Question No: 32 (Marks: 1) - Please choose one

A luxury car manufacturer was facing a loss as his sales were diminishing due to rising inflation and weak economy. He therefore decided to manufacture fuel efficient and cheaper cars. The manufacturer was stretching his product line:

- ▶ Upwards
- ▶ Downwards
- ▶ **Both ways**
- ▶ None of the given options

P#100,,It can systematically increase the length of its product line in two ways: by stretching its line and by filling its line. Product line stretching stretches its line downward, upward, or both ways.

Question No: 33 (Marks: 1) - Please choose one

Mr. A started his business by manufacturing small cheaper cars. As his business blossomed he decided to manufacture expensive luxury cars to add prestige to his current products. Mr. A was stretching his product line:

- ▶ Upwards
- ▶ **Downwards (not sure)**
- ▶ Both ways
- ▶ None of the given options

A company may stretch downward to plug a market hole that otherwise would attract a new competitor or to respond to a competitor's attack on the upper end.

Question No: 34 (Marks: 1) - Please choose one

During which of the following stage of product life cycle the company has to face stiff competition from its competitors as there are many competitors in the market?

- ▶ Introduction
- ▶ **Growth**
- ▶ Maturity
- ▶ Decline

Paper 3

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session - 3)

Time: 60 min

Marks: 47

Question No: 1 (Marks: 1) - Please choose one

Any paid form of non-personal presentation and promotion of ideas, goods or services by an identified sponsor reflects which one of the following concepts?

- ▶ Sales promotion
- ▶ Direct marketing
- ▶ **Advertising**
- ▶ Personal selling

P#237,,Advertising is described as being any paid form of non-personal presentation and promotion of ideas, goods, and services by an identified sponsor

Question No: 2 (Marks: 1) - Please choose one

Which one of the following options refers to “The art and science of choosing target markets and building profitable relationships”?

- ▶ Customer relationship management
- ▶ Knowledge management
- ▶ Total quality management
- ▶ **Marketing management**

P#14,,Marketing Management:

Marketing management is “the art and science of choosing target markets and building profitable relationships with them

Question No: 3 (Marks: 1) - Please choose one

The first step in the marketing control process is **BEST** described when the marketer performs which of the following activities?

- ▶ Evaluates performance
- ▶ Measures performance
- ▶ **Sets specific goals**
- ▶ Takes corrective action

P#39,,Marketing Control

- 1)Set specific goals
- 2)Measure performance
- 3). Evaluate Performance
- 4). Take corrective action

Question No: 4 (Marks: 1) - Please choose one

Which type of management is responsible for setting the company’s mission, objectives, broad strategies and policies?

- ▶ **Top management**
- ▶ Middle level management
- ▶ Low level management
- ▶ Functional management

P#42,,Top management is responsible for setting the company’s mission, objectives, broad strategies, and policies.

Question No: 5 (Marks: 1) - Please choose one

Your marketing department is attempting to improve strategic decision making, assess and track competitors’ actions and provide early warning of opportunities and threats. For this purpose which of the following will be used by your department?

- ▶ Internal databases
- ▶ External databases
- ▶ **Marketing intelligence**
- ▶ Company reports only

(page93)

http://books.google.com.pk/books?id=Lx5dxjc_Kq0C&pg=PA207&lpq=PA207&dq=W+hich+of+the+following+are+the+products+bought+by+individuals+and+organizations+f+or+furth+er+processing+or+for+use+in+conducting+a+business%3F&source=bl&ots=xbEGBr0aWO&sig=EPiR9ZLiXk1iATwkita2wgUAOCc&hl=en&ei=JSkSTf2_NouOjAekkKn2BQ&sa=X&oi=book_result&ct=result&resnum=5&ved=0CDMQ6AEwBA#v=snippet&q=improve%20strategic%20decision%20making&f=false

Question No: 6 (Marks: 1) - Please choose one

If ABC Ltd knows that its market share in Pakistan has dropped 13 percent in the first quarter of the year but does not know what might have contributed to this decline, it is in which stage of the marketing research process?

- ▶ Hypothesis development
- ▶ Symptom identification
- ▶ **Problem identification**
- ▶ Data interpretation

<http://www.scribd.com/doc/27111863/Marketing-Research-and-Information-Systems-Section-A> Q#4

Question No: 7 (Marks: 1) - Please choose one

In the previous three years, four studies have been conducted on the characteristics of ABC Company's clients. As the firm seeks to put together a report showing trends in this area, it has a hard time locating the information contained in these study reports. What does this firm seem to need?

- ▶ A marketing research manager
- ▶ **A marketing databank**
- ▶ Survey research
- ▶ Primary data

<http://www.scribd.com/doc/27111863/Marketing-Research-and-Information-Systems-Section-A> Q#2

Question No: 8 (Marks: 1) - Please choose one

Which of the following are a form of product that consists of activities, benefits or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything?

- ▶ Line extensions
- ▶ **Services**
- ▶ Brands
- ▶ Supplements

P#92,,Services are a form of product that consist of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

Question No: 9 (Marks: 1) - Please choose one

Which one of the following concept **BEST** represents the involvement of management and employees in the continuous improvement of the production of goods and services?

- ▶ **Total quality management**
- ▶ Marketing management
- ▶ Customer relationship management
- ▶ Knowledge management

(page 193)

[http://books.google.com/books?id=4OgyJ740KxMC&pg=PA193&dq=involvement+of+management+and+employees+in+the+continuous+improvement+of+the+production+of+goods+and+services&hl=en&ei=L5WDTf-6K8fPrQewqp3LCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=involvement%20of%20management%20and%20employees%](http://books.google.com/books?id=4OgyJ740KxMC&pg=PA193&dq=involvement+of+management+and+employees+in+the+continuous+improvement+of+the+production+of+goods+and+services&hl=en&ei=L5WDTf-6K8fPrQewqp3LCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=involvement%20of%20management%20and%20employees%20)

[20in%20the%20continuous%20improvement%20of%20the%20production%20of%20g
oods%20and%20services&f=false](#)

Question No: 10 (Marks: 1) - Please choose one

The publishers of “The Economist” developed a campaign to market the magazine to university and college students studying business and management courses. The publishers are focusing on which of the following strategies?

► **Product development (group ans)**

► Horizontal diversification

► **Market development (not sure)**

► Conglomerate diversification

Question No: 11 (Marks: 1) - Please choose one

Which one of the following product requires a lot of advertising, personal selling and other marketing efforts because consumer either does not know about it or knows about it but does not normally think about buying?

► Specialty products

► Shopping products

► Industrial products

► **Unsought products**

P#94,,Unsought products are consumer products that the consumer either does not know about or knows about but does not normally think of buying.

Question No: 12 (Marks: 1) - Please choose one

According to Peter Drucker goal of all organizations is to gain and retain customers. This is accomplished through:

► **Marketing and Innovation**

► Finance and Marketing

► Human resource and Marketing

► Finance and Human Resource

(slied 11) <http://www.slideshare.net/waqask/principles-of-marketing-waqashazaraedupk>

Question No: 13 (Marks: 1) - Please choose one

“Cool” industry manufactures air conditioners. “ABC” company distributes its manufactured products to the markets. “ABC” is a:

► Competitor

► **Marketing intermediary (review again)**

► Customer

► Public

<http://www.scribd.com/doc/39248193/38997223-Marketing-Managemnt>

Question No: 14 (Marks: 1) - Please choose one

Companies are refraining to use poisonous gases in the manufacturing of their products to prevent damage to the environment. The companies are trying to follow:

► Production Concept

► Product Concept

► Marketing Concept

► **Societal Marketing Concept**

http://books.google.com/books?id=PnERvpCI5QYC&pg=PA51&dq=societal+marketing+concept&hl=en&ei=wkGBTZyhMsPhrAfUINGyBw&sa=X&oi=book_result&ct=result

[&resnum=2&sqi=2&ved=0CC0Q6AEwAQ#v=onepage&q=societal%20marketing%20concept&f=false](#)

Question No: 15 (Marks: 1) - Please choose one

The selling concept is typically practiced for _____ goods.

- ▶ Convenience
- ▶ Shopping
- ▶ Specialty
- ▶ **Unsought**

P#223,,This concept is typically practiced with unsought goods

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statements is an example of a problem that may arise in the implementation of the marketing concept?

- ▶ The marketer cannot satisfy all the marketing segments
- ▶ **Consumers do not understand what the marketing concept is**
- ▶ Dealers do not support the marketing concept
- ▶ A product may fit the needs of too many segments

Question No: 17 (Marks: 1) - Please choose one

What are we going to do? And, how are we going to do it? In which of the following categories do these two questions fall?

- ▶ Researching
- ▶ **Planning**
- ▶ Controlling
- ▶ Managing

P#28,,Planning is basically concerned with what are we going to do and how are we going to do it? Organizations, which are not able to perform the effective planning, are actually planning for failures.

Question No: 18 (Marks: 1) - Please choose one

Planning which is used to supervise the operations of the organization is called:

- ▶ **Strategic Planning**
- ▶ Tactical Planning
- ▶ Operational Planning
- ▶ Mission Planning

P#28,,Operational planning is used to supervise the operations of the organization

Question No: 19 (Marks: 1) - Please choose one

A marketing department organization where a product manager develops a complete strategy for a product or brand is called:

- ▶ Functional Organization
- ▶ Geographic Organization
- ▶ **Product Management Organization**
- ▶ Customer Management Organization

P#39,,A product management organization where a product manager develops a complete strategy for a product or brand

Question No: 20 (Marks: 1) - Please choose one

Neighborhood residents and community organizations comprise part of a firm's:

- ▶ **Local Publics**
- ▶ General Publics

- ▶ Governmental Publics
- ▶ Financial Publics

P#43,,Local publics--includes neighborhood residents and community organizations

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements regarding the natural environment is FALSE?

- ▶ Weather has become less intense in the previous few years (**not sure**)
- ▶ Increased pollution is a major concern for marketers today
- ▶ Global warming is a major issue for marketers to deal with today
- ▶ The threat of governmental intervention in natural resource management is a major issue for marketers

Question No: 22 (Marks: 1) - Please choose one

A(n) _____ is a segment of the population selected to represent the population as a whole.

- ▶ Survey
- ▶ **Sample**
- ▶ Experiment
- ▶ Market

P#57,,A sample is a segment of the population selected for marketing research to represent the population as a whole.

Question No: 23 (Marks: 1) - Please choose one

A person on the University Book Shop's survey asks respondents to tell the researcher, in their own words, what they dislike about textbook shopping. What is the nature of this question?

- ▶ **An open-ended**
- ▶ A dichotomous
- ▶ A multiple choice
- ▶ A scale

Question No: 24 (Marks: 1) - Please choose one

The consumer buyers' **characteristics** are affected by which of the following factors?

- ▶ **Cultural and Social (sure)**
- ▶ Personal and Political
- ▶ Psychological and Demographical
- ▶ All of the given options

Question No: 25 (Marks: 1) - Please choose one

The Hispanic, African American, Asian American, and mature consumers in America are all examples of:

- ▶ Culture
- ▶ **Sub culture**
- ▶ Social class
- ▶ All of the given option

(slided 17)

http://www.slidefinder.net/c/chapter_five_consumer_markets_consumer/25370378

Question No: 26 (Marks: 1) - Please choose one

Identify the term used when buyers buy without modifications.

- ▶ New task

- ▶ Same order
- ▶ **Straight rebuy**
- ▶ Reorder

P#76,,In a straight rebuy the buyer reorders something without any modifications

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a characteristic of business markets?

- ▶ **Business buyers are more emotional buyers than are final consumers**
- ▶ Business markets are more geographically concentrated
- ▶ Business demand is derived demand
- ▶ Many business markets have inelastic demand

P#74,,Characteristics of Business Markets

They are more geographically concentrated.

Business markets have derived demand

Many business markets have inelastic demand;

Question No: 28 (Marks: 1) - Please choose one

When Tetra Pack promotes the idea that milk should be drunk in the morning and the evening, it is using

- ▶ **Behavioral segmentation**
- ▶ Benefit segmentation
- ▶ Occasion segmentation
- ▶ Loyalty marketing

(page 85) Behavioral segmentation involves dividing a market into groups based on consumer knowledge, attitudes, uses, or responses to a product.

Question No: 29 (Marks: 1) - Please choose one

KPV firm has limited resources. Which marketing strategy would you suggest that KPV should adopt?

- ▶ **Concentrated Marketing**
- ▶ Differentiated Marketing
- ▶ Undifferentiated Marketing
- ▶ None of the given option

P#87,,Concentrated Marketing

A third market-coverage strategy, concentrated marketing, is especially appealing when company resources are limited.

Question No: 30 (Marks: 1) - Please choose one

ABC Company is the leading manufacturer of steel, cement and other uniform building materials. Which marketing strategy would you suggest that ABC Company should adopt?

- ▶ Concentrated Marketing
- ▶ **Differentiated Marketing (review)**
- ▶ Undifferentiated Marketing
- ▶ None of the given option

Question No: 31 (Marks: 1) - Please choose one

Identify the two broad classes that products and services fall into based on the types of consumers that use them.

- ▶ **Consumer products and industrial products**
- ▶ Core products and augmented products

- ▶ Specialty products and unsought products
- ▶ Convenience products and shopping products

Question No: 32 (Marks: 1) - Please choose one

With what groups do firms conduct concept testing of new products?

- ▶ Suppliers
- ▶ Employees
- ▶ **Target customers**
- ▶ focus groups

P#103,, Concept testing calls for testing new-product concepts with groups of target consumers

Question No: 33 (Marks: 1) - Please choose one

A luxury car manufacturer was facing a loss as his sales were diminishing due to rising inflation and weak economy. He therefore decided to manufacture fuel efficient and cheaper cars. The manufacturer was stretching his product line:

- ▶ Upwards
- ▶ Downwards
- ▶ **Both ways**

- ▶ None of the given options

P#100,,It can systematically increase the length of its product line in two ways: by stretching its line and by filling its line. Product line stretching stretches its line downward, upward, or both ways.

Question No: 34 (Marks: 1) - Please choose one

Launching a product in a small part of the market is called:

- ▶ **Test marketing**
- ▶ Product testing
- ▶ Marketing analysis
- ▶ All of the given

http://books.google.com/books?id=O5gAIP8G2woC&pg=PA180&lpg=PA180&dq=Launching+a+product+in+a+small+part+of+the+market+is+called+Test+marketing&source=bl&ots=JLKrYRIOha&sig=tbD0-jBMprP0RoIEVpW3-dQQITI&hl=en&ei=f1SBTcWoEsOsrAejw9WzBw&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCcQ6AEwAg#v=onepage&q=Launching%20a%20product%20in%20a%20small%20part%20of%20the%20market%20is%20called%20Test%20marketing&f=false

Paper 4

MIDTERM EXAMINATION Spring 2010

MGT301- Principles of Marketing (Session - 6)

Question No: 1 (Marks: 1) - Please choose one

A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?

- ▶ Marketing plan

▶ Marketing strategy

▶ **Marketing mix**

▶ Market offering

(Q#12) <http://www.scribd.com/doc/27111819/An-Overview-of-Strategic-Marketing-Section-B>

Question No: 2 (Marks: 1) - Please choose one

Through which process individuals and groups obtain what they need and want by creating and exchanging products and value with others?

▶ Production process

▶ Marketing process

▶ **Managerial process**

▶ Accounting process

Marketing is defined as “a social and managerial process by which individuals and groups obtain what they need and want through creating and exchanging products and value with others.” Pg 1

Question No: 3 (Marks: 1) - Please choose one

If a local company wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

▶ Focusing on today is important for us

▶ Making money is our business

▶ **The customer is always right**

▶ Keeping prices low is our objective

<http://www.referenceforbusiness.com/management/Mar-No/Marketing-Concept-and-Philosophy.html>

http://books.google.com.pk/books?id=eHBkhvObMKIC&pg=PA291&dq=marketing+concept+The+customer+is+always+right&hl=en&ei=WfCDTeHzJsOecczOyZsD&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCwQ6AEwAQ#v=onepage&q=marketing%20concept%20The%20customer%20is%20always%20right&f=false

Question No: 4 (Marks: 1) - Please choose one

A network of networks that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?

▶ LAN

▶ Intranet

▶ Extranet

▶ **Internet**

It is a "network of networks" that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services, such as electronic mail, online chat, file transfer, and the interlinked web pages and other resources of the World Wide Web (WWW).

http://www.willamettehosting.com/host_terms.shtml

Question No: 5 (Marks: 1) - Please choose one

Which of the following is an intensive growth strategy of increasing sales in current markets with current products?

- ▶ Market development
- ▶ **Market penetration**
- ▶ Product development
- ▶ Market saturation

http://books.google.com/books?id=d_CyGUpYBYwC&pg=PA32&lpg=PA32&dq=Market+penetration+is+an+intensive+growth+strategy+of+increasing+sales+in+current+markets+with+current+products&source=bl&ots=SvI3OuxIrp&sig=XFOLRqDJERyjAAaB-FNs2AGOVA&hl=en&ei=6zuCTdiqC9DirAfr2Im8CA&sa=X&oi=book_result&ct=result&resnum=6&ved=0CDkQ6AEwBQ#v=onepage&q=Market%20penetration%20is%20an%20intensive%20growth%20strategy%20of%20increasing%20sales%20in%20current%20markets%20with%20current%20products&f=false

Question No: 6 (Marks: 1) - Please choose one

Harvard University is using the systematic design, collection, analysis, and reporting of data relevant to marketing its programs to minority students. What do we call this?

- ▶ Promotion
- ▶ Self-study
- ▶ **Marketing research**
- ▶ Cost-benefit analysis

Marketing Research

The systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization pg no 53

Question No: 7 (Marks: 1) - Please choose one

Which one of the following stage is NOT a part of buyer's black box?

- ▶ Brand choice
- ▶ Product choice
- ▶ **Need recognition**
- ▶ Dealer choice

Pg no 62

Question No: 8 (Marks: 1) - Please choose one

After deciding to order replacement parts for ageing machinery, the buyer for a construction company examines catalogues and trade publications. The buyer is probably at which stage of the organizational buying decision process?

- ▶ Problem recognition
- ▶ Product specification
- ▶ **Product-supplier search**
- ▶ Product evaluation

q18<http://www.scribd.com/doc/27111875/Organisational-Markets-and-Buying-Behaviour-Section-A>

Question No: 9 (Marks: 1) - Please choose one

Which one of the following factor indicates "the name, term, sign, symbol, design or a combination of these that differentiate the product of one seller or group of sellers from the other sellers"?

- ▶ **Brand**
- ▶ Package

- ▶ Label
- ▶ Style

A brand is a name, term, sign, symbol, or design, or a combination of these, that identifies the maker or seller of a product or service pg no 96

Question No: 10 (Marks: 1) - Please choose one

After concept testing, a firm would engage in which stage for developing and marketing a new product?

▶ **Marketing strategy development**

- ▶ Business analysis
- ▶ Product development
- ▶ Test marketing

(Q#11) http://wps.pearsoned.co.uk/ema_uk_he_harker_mktgintro_1/127/32608/8347855.cw/content/index.html

Question No: 11 (Marks: 1) - Please choose one

Which one of the following sets reflects the marketing strategy statement in new product development?

- ▶ Idea generation; idea screening; concept development
- ▶ Idea generation; concept development; concept testing
- ▶ **Target market description; planned product positioning; sales goals**
- ▶ Idea generation; test marketing; commercialization

Pg no 103 The *marketing strategy statement* consists of three parts. The first part describes the target market; the planned product positioning; and the sales, market share, and profit goals for the first few years

New Product Development and Product Life Cycle Strategies

2. The marketing strategy statement in new product development consists of three parts: ____, ____, and _____.
 - a. idea generation; idea screening; concept development
 - b. idea generation; concept development; concept testing
 - c. idea generation; idea screening; idea management
 - d. target market description; planned product positioning; sales, market share, and profit goals for the first few years.

Answer: (d) Difficulty: (2) Page: 272

Question No: 12 (Marks: 1) - Please choose one

Customer relationship management (CRM) focuses on creating two-way exchanges with customers so that firms have an intimate knowledge of their needs, wants and buying patterns. What does CRM deliver to customers for maintaining profitable customer relationships?

▶ **Superior customer value**

- ▶ Less expensive goods
- ▶ Quality products
- ▶ Variety of products

Most companies today are moving away from transaction marketing, with its emphasis on making a sale. Instead, they are practicing relationship marketing, which emphasizes maintaining profitable long-term relationships with customers by creating superior customer value and satisfaction pg no 181

Question No: 13 (Marks: 1) - Please choose one

Fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to fatness that harms consumer health. Which one of the following concepts is **NOT** being followed by this company?

- ▶ Product concept
- ▶ Production concept
- ▶ **Societal marketing concept**
- ▶ Marketing concept

According to the authors of your text, fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to a national obesity epidemic that harms consumer health and causes environmental problems in the long run.

This statement reflects that they often overlook the business philosophy.

- a. marketing concept
- b. product concept
- c. production concept
- d. societal marketing concept
- e. new-idea

(Answer: d; p. 11; Moderate)

http://docs.google.com/viewer?a=v&q=cache:Hmr6DXB-j6gJ:140.114.53.170:8080/StudentProject/NTUTProject/Projects/Others/AKMAI8_IRCD/content/Chapter_01/Assess/TIF/armstrong_mai08_tif_01.doc+Fast-food+restaurants+offer+tasty+and+convenient+food+at+affordable+prices%3B+they+contribute+to+fatness+that+harms+consumer+health.+Which+one+of+the+following+concepts+is+NOT+being+followed+by+this+company%3F+%E2%96%BA+Product+concept+%E2%96%BA+Production+concept+%E2%96%BA+Societal+marketing+concept+%E2%96%BA+Marketing+concept&hl=en&gl=pk&pid=bl&srcid=ADGEESh_4kMcKCfU_hRqddPGtU-dvuj5Fb-SxIqWsQmb4WRUuXDMnJQ1y31mB_H9uegNYfk5yEubmJ6Q5aIgJ4JJPpjmalldtypRw_dJYSasjaRMRzi0hWI9r4pRPx8TyVvahV6vrDMm64u&sig=AHIEtbRzLOoxow2KqyOMuYeyk8xLADqxiQ

Question No: 14 (Marks: 1) - Please choose one

Which one of the following steps is **NOT** a part of marketing process?

- ▶ Analyzing marketing opportunities
- ▶ Selecting target market
- ▶ **Designing the business portfolio**
- ▶ Develop marketing mix

The marketing process consists of four steps: analyzing market opportunities; developing marketing strategies; planning marketing programs, which entails choosing the marketing mix (the four Ps of product, price, place, and promotion); and organizing, implementing, and controlling the marketing effort. Marketing is the organizational function charged with defining customer targets and the best way to satisfy needs and wants competitively and profitably.pg no 6

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is a chief goal of the implementation function in marketing process?

- ▶ Develops marketing plans
- ▶ **Turns plans into actions**
- ▶ Takes corrective actions
- ▶ Develops strategic plans

marketing Implementation is the process that turns marketing plans into marketing actions in order to accomplish strategic marketing objectives.

http://www.zainbooks.com/books/marketing/principles-of-marketing_10_marketing-process.html

Question No: 16 (Marks: 1) - Please choose one

Marketing Information System consists of people, equipment, and procedures to gather, sort, _____, evaluate, and distribute information to marketing decision makers.

▶ **Analyze**

- ▶ Arrange
- ▶ Test
- ▶ Control

3. **An MIS consists of people, equipment, and procedures to gather, sort, _____, evaluate, and distribute information to marketing decision makers.**

- a. test
- b. test market
- c. **analyze**
- d. critique
- e. assess

(Answer: c; p. 97; Easy)

Or

http://docs.google.com/viewer?a=v&q=cache:pp4fM2vhS1gJ:course.shufe.edu.cn/course/marketing/shuangyu/xt/CHAPTER%252005.doc+Marketing+Information+System+consists+of+people,+equipment,+and+procedures+to+gather,+sort,+_____,+evaluate,+and+distribute+information+to+marketing+decision+makers.+%E2%96%BA+Analyze+%E2%96%BA+Arrange+%E2%96%BA+Test+%E2%96%BA+Control&hl=en&gl=pk&pid=bl&srcid=ADGEESiE152e2B92KffXBHPp57jrXCzGW_szmLfQWzVLKmHuCUrhaGWrqek5m_otuMK1I7k_OC5Qdwkq4suSTE_y_Fpir5AM0cLBRU3zHY-5LBNP4m2ImXuA5FlnrLZV3mX-9ytL6Y2m&sig=AHIEtbQCV3NhF4jWuonL3Y1CsrOdBxa8qg

or

http://www.google.com.pk/#hl=en&biw=1024&bih=677&q=Marketing+Information+System+consists+of+people%2C+equipment%2C+and+procedures+to+gather%2C+sort%2C+_____%2C+evaluate%2C+and+distribute+information+to+marketing+decision+makers.++++++%E2%96%BA+Analyze++++++%E2%96%BA+Arrange++++++%E2%96%BA+Test++++++%E2%96%BA+Control+&aq=f&aqi=&aql=&oq=&fp=e46fc70aacf3e376

Question No: 17 (Marks: 1) - Please choose one

In recent times there have been huge **advancements in information technology**. This era is known as:

- ▶ An old economy
- ▶ Transformation
- ▶ A new world
- ▶ **The digital age**

<http://www.scribd.com/doc/7051946/Social-Effects-of-ICT>

Question No: 18 (Marks: 1) - Please choose one

When competition is intense and there are many manufacturers then the buyer has more options of product switching. This is represented in Porters model as:

- ▶ Threat of new entrants
- ▶ **Bargaining power of buyers**
- ▶ Bargaining power of suppliers
- ▶ Rivalry among competing firms

• **Bargaining Power of Buyers:** When competition is intense and number of manufacturer is greater the buyer have more options for product switching over this will increase the buying power of buyer pg 22

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT a step in the **strategic planning process**?

- ▶ Defining the company mission
- ▶ Planning marketing and other functional strategies
- ▶ Setting company objectives and goals
- ▶ **Setting pricing policies**

3. Strategic planning Process:

It is defined as the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

- 1). Strategic planning sets the stage for the rest of the planning in the firm.
- 2). There are four steps to the strategic planning process:
 - a). stating a clear company mission.
 - b). Setting supporting company objectives.
 - c). Designing a sound business portfolio.
 - d). Planning and coordinating marketing and other functional strategies pg no 29

Question No: 20 (Marks: 1) - Please choose one

What is the purpose of strategic planning?

- ▶ **Using strengths to achieve goals**
- ▶ To develop new products
- ▶ To identify competitors
- ▶ To find method of counting cash cows

http://wps.prenhall.com/bp_kotler_pom_11/31/8124/2079977.cw/index.html

q no 3

Question No: 21 (Marks: 1) - Please choose one

Which of the following is **NOT** a content of the marketing plan?

- ▶ Budget
- ▶ **Production**
- ▶ Objective
- ▶ Control

(page 38) diagram

[Contents of a Marketing Plan](#)

Executive Summary
Current Marketing Situation
Threats and Opportunity Analysis
Objectives and Issues
Marketing Strategy
Action Programs
Budgets
Controls

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT a part of the marketing control process?

- ▶ Measure performance
- ▶ Evaluating performance
- ▶ Taking corrective actions
- ▶ **Setting objective for the business**

Marketing control is the process of measuring and evaluating the results of marketing strategies and plans, and taking corrective action to ensure that marketing objectives are attained. Implementation requires four steps:

- 1). Set specific goals (What do we want to achieve?).
- 2). Measure performance (What is happening?).
- 3). Evaluate performance (Why is it happening?).
- 4). Take corrective action (What should we do about it?).pg no 39

Question No: 23 (Marks: 1) - Please choose one

A marketing department organization where sales and marketing people are assigned to specific countries, regions, or districts is called:

- ▶ Functional Organization
- ▶ **Geographic Organization**
- ▶ Product Management Organization
- ▶ Customer Management Organization

2). The geographic organization where sales and marketing people are assigned to specific countries, regions, or districts pg no 39

Question No: 24 (Marks: 1) - Please choose one

The disadvantage of observational research is:

- ▶ Information cannot be gained by observing relevant people
- ▶ Feelings, attitudes and motives cannot be observed
- ▶ It cannot be used to obtain information that people are unwilling or unable to provide

____▶ **All of the given options**

Observational research where information is gained by observing relevant people, actions, and situations. However, some things such as feelings, attitudes, motives, and private behavior cannot be observed pg no 56

<http://www.referenceforbusiness.com/management/Mar-No/Marketing-Research.html>

Observational research is the gathering of primary data by observing relevant people, actions, and situations. Observational research can be used to obtain information that people are unwilling or unable to provide. In some cases, observation may be the only way to obtain the needed information.

Question No: 25 (Marks: 1) - Please choose one

Which of the following is the disadvantages of survey research?

- ▶ Survey research is not flexible
- ▶ The respondents can give inaccurate answers
- ▶ It is difficult to collecting primary data with survey research
- ▶ **All of the given options**

The major advantage of this approach is flexibility while the disadvantages include the respondent being unwilling to respond, giving inaccurate answers, or unwilling to spend the time to answer. Pg 56

<http://www.referenceforbusiness.com/management/Mar-No/Marketing-Research.html>

Survey research is the most widely used method for primary data collection, and it is often the only method used in a research study. The major advantage of survey research is its flexibility.

Question No: 26 (Marks: 1) - Please choose one

In a reference group, people who have special skills, knowledge, personality, or other characteristics, and exert influence on others are called:

- ▶ **Opinion leaders**
- ▶ Habitual buyers
- ▶ Charismatic personalities
- ▶ Wild ducks

opinion leaders—people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert influence on others. Pg no 64
http://docs.google.com/viewer?a=v&q=cache:f9rq4NXTHMsJ:140.114.53.170:8080/StudentProject/NTUTProject/Projects/Others/AKMAI8_IRCD/content/Chapter_05/_Assess/TIF/armstrong_mai08_tif_05.doc+In+a+reference+group,+people+who+have+special+skills,+knowledge,+personality,+or+other+characteristics,+and+exert+influence+on+others+are+called:+%E2%96%BA+Opinion+leaders+%E2%96%BA+Habitual+buyers+%E2%96%BA+Charismatic+personalities+%E2%96%BA+Wild+ducks&hl=en&gl=pk&pid=bl&srcid=ADGEESjdTacwEAbFm_a2xtxANWpN4AZrKRGn7N8YVi8WiSy52aTb6QfdZ_IMU_F6l-V_pMy2QOZkomSQkG-7uBTxayrmVOyLI05YL0L05NS-m_GkFAI9Bl5ZpMpPbnkcZaRZ5VIf4DN&sig=AHIEtbRuQGYHESLVMpahMij-su9N8iqeBQ

24. _____ are people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert influence on others.

- a. Opinion leaders
- b. Habitual buyers
- c. Charismatic personalities
- d. Perceptionists
- e. Wild ducks

(Answer: a; p. 133; Easy)

Question No: 27 (Marks: 1) - Please choose one

The consumer buyer decision process begins with:

- ▶ **Need recognition**

- ▶ Information search
- ▶ Evaluation of alternative
- ▶ Purchase decision

buyer decision process consists of five stages: *need recognition, information search, evaluation of alternatives, purchase decision, and post purchase*

behavior. Pg no 70

<http://www.ehow.com/how-does-5438201-consumer-buying-decision-process.html>

Question No: 28 (Marks: 1) - Please choose one

Mr. X is interested in buying a carpet. Although the carpet is costly but there is very little perceived difference between the brands. This is an example of:

▶ **Complex Buying Behavior**

- ▶ Variety Seeking Buying Behavior
- ▶ Dissonance Reducing Buying Behavior
- ▶ Habitual Buying Behavior

Complex Buying Behavior

Consumers undertake complex buying behavior when they are highly involved in a purchase and perceive significant differences among brands. Consumers may be highly involved when the product is expensive, risky, purchased infrequently, and highly self-expressive. Typically, the consumer has much to learn about the product category. For example, a personal computer buyer may not know what attributes to consider. Many product features carry no real meaning: a "Pentium Pro chip," "super VGA resolution," or "megs of RAM."

Question No: 29 (Marks: 1) - Please choose one

The bases of segmentation for business markets include _____.

- ▶ Demographic
- ▶ Situational factors
- ▶ Personal characteristics

▶ **All of the given options**

(page 21) <http://www.docstoc.com/docs/38293730/CHAPTER-7>

Question No: 30 (Marks: 1) - Please choose one

What does a company's market position influence?

- ▶ Focus
- ▶ **Company's marketing strategy**
- ▶ Loyalty
- ▶ None of the given option

(page 103) The *marketing strategy statement* consists of three parts. The first part describes the target market; the planned product positioning; and the sales, market share

Question No: 31 (Marks: 1) - Please choose one

Ahmed bought a used car from a used car retailer. A used car is an example of:

- ▶ Convenience Products
- ▶ **Shopping Products**
- ▶ Specialty Products
- ▶ Unsought Products

• **Shopping products** are less frequently purchased consumer products and services

that customers compare carefully on suitability, quality, price, and style. When buying shopping products and services, consumers spend much time and effort in gathering information and making comparisons. Examples include furniture, clothing, used cars, major appliances, and hotel and motel services.

• **Shopping products** marketers usually distribute their products through fewer outlets but provide deeper sales support to help customers in their comparison efforts. Pg 93

<http://www.slideshare.net/kkjikevin03/6>

Question No: 32 (Marks: 1) - Please choose one

Which of the following options refers to “New Products”?

- ▶ Product modifications
- ▶ Product improvements
- ▶ New brands that a firm develops

▶ **All of the given options**

<http://www.scribd.com/doc/26155318/New-Product-Development-Strategy>
slide no 2

Question No: 33 (Marks: 1) - Please choose one

Toyota is developing an electric car, powered by solar energy. They are currently working on several alternatives of the car and need to find out which version of the car prospective customers find most appealing. This is an example of the _____ stage of the product development process.

- ▶ Idea generation
- ▶ Idea screening
- ▶ Concept development

▶ **All of the given options (review)**

pg 101

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a shortest product life cycle?

- ▶ **Fad**
- ▶ Fashion
- ▶ Style
- ▶ None of the given options

(page 14)<http://www.slideshare.net/janemonkey/fashion-marketing-week-4>

Paper 5

MGT301 MID FALL 2010

Q#1: The receptionist at a doctor's office throws away certain product circulars mailed by pharmaceutical companies and keeps the ones on products she believes are useful. The receptionist is performing which role in the buying center?

Influencer

Buyer

Decider

Gatekeeper

(Q#16) <http://www.scribd.com/doc/27111875/Organisational-Markets-and-Buying-Behaviour-Section-A>

Q#2: If a local company wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

Focusing on today is important for us

Making money is our business

The customer is always right

Keeping prices low is our objective

Q#3: Any paid form of non-personal presentation and promotion of ideas, goods or services by an identified sponsor reflects which one of the following concepts?

Sales promotion

Direct marketing

Advertising

Personal selling

Q#1) http://wps.prenhall.com/bp_kotler_mm_12/33/8683/2222934.cw/index.html

Q#4: Making more sales to current customers without changing a firm's products refers to which of the following strategies?

Market development

Market growth

Market penetration

Product development

(page 33)

Market Penetration—making more sales to present customers without changing products in any way.

Q#5: The objective of which of the following research is to gather preliminary information that will help define the problem and suggest hypotheses?

Descriptive

Exploratory

Causal

Corrective

page 55) Exploratory research where the objective is to gather preliminary information that will help to better define problems and suggest hypotheses for their solution.

Q#6: A threat is a major unfavorable situation in a firm's environment. Threats are key impediments to the firm's current or desired position. Which one of the following represents threat to a firm's success?

Relaxation of international tariffs

The entrance of new competitors in the market

Undifferentiated products or services

Cost advantages present because of advanced technology

A threat is a major unfavourable situation in a firm's environment. Threats are key impediments to the firm's current or desired position. The entrance of new competitors, slow market growth, increased bargaining power of key buyers or suppliers, technological changes, and new or revised regulations could represent threats to a firm's success.

http://university-essays.tripod.com/swot_tows_analysis.html

Q#7: Demographic segmentation divides the market into groups based on which of the following variables?

Size, location, industry, customer

Size, company, industry, technology

Location, size, occupation, race

Customer, technology, company, industry

P#84: Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race,

Q#8: A political force is one of the actors of marketing macro environment. It is difficult for the marketers to deal with the political environment because:

It is simple to recognize

It is beyond their control

It is easily ignored

It is easily influenced

Q#9: Buyer and seller similarities is an attribute comes under which one of the following concepts?

Demographic factors

Personal characteristics

Situational factors

Operating variables

Q#10: Boston University is using the systematic design, collection, analysis, and reporting of data relevant to marketing its programs to minority students. What do we call this?

Promotion

Self-study

Marketing research

Cost-benefit analysis

(reference) Chapter 4

121. Harvard University is using the systematic design, collection, analysis, and reporting of data relevant to marketing its programs to minority students. What do we call this?
- Promotion.
 - Self-study.
 - Marketing research.

- d. Cost-benefit analysis.
- e. Identifying the target market.

(Answer: c; p. 102; Challenging)

Q#11: Which one of the following statements is an example of a problem that may arise in the implementation of the marketing concept?

The marketer cannot satisfy all the marketing segments

Consumers do not understand what the marketing concept is

Dealers do not support the marketing concept

A product may fit the needs of too many segments

Q#12: Why is business legislation enacted?

To protect consumers

To protect companies from each other

To protect the interest of the society

All of the given options

(page 47) Increasing legislation to:

- a). **Protect companies** from each other.
- b). **Protecting consumers** from unfair business practices.
- c). **Protecting interests of society** against unrestrained business behavior.

Q#13: Three main strategies for intensive growth are market penetration, product development and the other one?

Product improvement

Market saturation

Market growth

Market development

The set of strategies included in intensive strategies are:

1. Product development
2. Market penetration
3. Market development

<http://www.mba-tutorials.com/strategy/1112-intensive-strategies.html>

Q#14: Mr. A prefers Suzuki over Toyota, because he considers Suzuki to be cheaper, faster, more economical and reliable. The evaluation performed by Mr. A is known as:

Customer Satisfaction

Customer Perceived Value

Customer Preference

Customer's Choice

Q#15: Which one of the following environment depicts consumer purchasing power and spending patterns?

Demographic environment

Cultural environment

Economic environment

Consumer environment

The _____ environment consists of factors that affect consumer purchasing power and spending patterns.

a. social-cultural

b. political-legal

c. technological

d. economic

e. natural

(Answer: d; p. 79; Easy)

Q#16: When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

Not-for-profit marketing

Mindless marketing

Ethics in marketing

Societal marketing

<http://flashcarddb.com/cardset/77455-marketing-flashcards>

Q#17: All of the following are included in the Porters five forces model of competition EXCEPT:

Threats of new entrants

Bargaining Powers of competitors

Threat of substitute products

Rivalry among competing firms in industry

(page 41)

http://books.google.com/books?id=xr64aks8wCEC&pg=PA49&dq=Porters+five+forces+model+of+competition+EXCEPT:&hl=en&ei=_SmGTbPrC5CcvGOilq3UCA&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCkQ6AEwAA#v=onepage&q&f=false

Q#18: You purchase cleaning supplies regularly. It is showing which buying situation?

Modified rebuy

Straight rebuy

Modified straight rebuy

Consumer buy

(76) In a **straight rebuy** the buyer reorders something without any modifications. It is usually handled on a routine basis by the purchasing department.

Which of the following options refers to "New Products"?

Product modifications
Product improvements
New brands that a firm develops

All of the given options

<http://www.scribd.com/doc/26155318/New-Product-Development-Strategy>

Q#19: Why is the demographic environment a major interest to marketers?

Because it involves global financing

Because it involves people and people make up markets

Because demographics involve diverse consumer products

Because demographics focus on local marketing opportunities

(page106) http://books.google.com/books?id=xye9Jf04Rv4C&pg=PA106&dq=Why+is+the+demographic+environment+a+major+interest+to+marketers?&hl=en&ei=VKKETb7IoKmuAOrrHQCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=Why%20is%20the%20demographic%20environment%20a%20major%20interest%20to%20marketers%3F&f=false

Q#20: The major marketing research tool for gaining insights into consumer thoughts and feelings is:

All of the given options

Focus group interviewing

Telephone interviewing

Online interviewing

(page100)

http://books.google.com/books?id=Lx5dxjc_Kq0C&pg=PA100&dq=major+marketing+research+tool+for+gaining+insights+into+consumer+thoughts&hl=en&ei=jjyGTcLQAOgKuAO1yIi9CA&sa=X&oi=book_result&ct=result&resnum=4&ved=0CD0Q6AEwAw#v=onepage&q&f=false

Q#22: Which of the following is a shortest product life cycle?

Fad

Fashion

Style

None of the given options

Q#23: Business demand ultimately comes from the demand for consumer goods. This is known as _____ demand.

Derived

Inelastic

Elastic

Fluctuating

Business markets have derived demand (business demand that ultimately comes from or derives from the demand for consumer goods)P#74

Q#24: Microsoft introduced new software which enhances voice chatting on the internet. Most of the people are unaware of this software. The people who are aware of the product are not interested in buying this software. This software, is an example of:

Convenience Products

Shopping Products

Specialty Products

Unsought Products

http://library.isb.edu/digital_collection/Marketing_by_Gemmy_Allen.pdf

Unsought products are those not normally thought of either because consumers don't want to think of them (burial insurance) or consumers are unaware of them (a telephone number allowing you to check your email messages).

Q#25: The two dimensions of product quality are:

Level and consistency

Precision and accuracy

Level and precision

Consistency and precision

Product quality has two dimensions—level and consistency. P#95,,

Q#26: The Hispanic, African American, Asian American, and mature consumers in America are all examples of:

Culture

Sub culture

All of the given options

Social class

(slied 17)

http://www.slidefinder.net/c/chapter_five_consumer_markets_consumer/25370378

Q#27: When a company decides to harvest a product, what happens to the product?

Various costs are reduced

The product is eliminated

Products cannot be harvested

None of the given options

(Q#10) http://wps.prenhall.com/bp_kotler_pom_11/31/8126/2080306.cw/index.html

Paper 6

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

If XYZ Insurance Company observes a sudden increase in the number of farmers seeking flood insurance in Pakistan due to major floods in India, Which one of the following is representing flood situation for the company?

► Marketing opportunity

- ▶ Marketing strategy
- ▶ Marketing concept
- ▶ Marketing threat

<http://www.d17.net/farm-insurance/mba-questionf-erin-farm-insurance-saw-a-sudden-increase-in-the-number-of-farmer>

Question No: 2 (Marks: 1) - Please choose one

All of the following are accurate descriptions of a company's mission statement, EXCEPT which one?

- ▶ Mission statement should fit the market environment
- ▶ Mission statement should be realistic
- ▶ **Mission statement should be broad**
- ▶ Mission statement should be motivating

(page 30)

Be realistic.

2). Be specific.

3). Fit the market environment.

4). Indicate distinctive competencies.

5). Be motivating.

(Q#3)<http://www.docstoc.com/docs/68391417/Chapter-2-Company-and-Marketing-Strategy>

Question No: 3 (Marks: 1) - Please choose one

Advertising agencies are an example of which of the following marketing intermediaries?

- ▶ Insurance company
- ▶ Financial intermediary
- ▶ **Marketing services agency**
- ▶ Physical distribution firm

(page 43)**Marketing service agencies (such as marketing research firms, advertising agencies, media firms, etc.) help the company target and promote its products**

Question No: 4 (Marks: 1) - Please choose one

"How people feel about corporations, government agencies, trade unions and universities" refers to which of the following views?

- ▶ People's view of others
- ▶ People's view of societies
- ▶ People's view of themselves
- ▶ **People's view of organizations**

(Q#11)http://wps.pearsoned.co.uk/ema_uk_he_kotler_prinmark_4/27/7110/1820178.cw/content/index.html

Question No: 5 (Marks: 1) - Please choose one

Your marketing department is attempting to improve strategic decision making, assess and track competitors' actions and provide early warning of opportunities and threats. For this purpose which of the following will be used by your department?

- ▶ Internal databases
- ▶ External databases
- ▶ **Marketing intelligence**

- Company reports only

http://books.google.com.pk/books?id=Lx5dxjc_Kq0C&pg=PA207&lpg=PA207&dq=Which+of+the+following+are+the+products+bought+by+individuals+and+organizations+for+further+processing+or+for+use+in+conducting+a+business%3F&source=bl&ots=xbEGBr0aWO&sig=EPiR9ZLiXk1iATwkita2wgUAOCc&hl=en&ei=JSkStf2_NouOjAekkKn2BQ&sa=X&oi=book_result&ct=result&resnum=5&ved=0CDMQ6AEwBA#v=snippet&q=improve%20strategic%20decision%20making&f=false

Question No: 6 (Marks: 1) - Please choose one

Which one of the following scheme is TRUE regarding marketing research in sequence?

- **Gathering data, analysis, interpretation**

- analysis, gathering data, Interpretation

- Interpretation, gathering data, analysis

- Interpretation, reporting, analysis

<http://www.quickmba.com/marketing/research/>

Once the need for marketing research has been established, most marketing research projects involve these steps:

1. Define the problem

2. Determine research design

3. Identify data types and sources

4. Design data collection forms and questionnaires

5. Determine sample plan and size

6. Collect the data

7. Analyze and interpret the data

8. Prepare the research report

Question No: 7 (Marks: 1) - Please choose one

If ABC Ltd knows that its market share in Pakistan has dropped 13 percent in the first quarter of the year but does not know what might have contributed to this decline, it is in which stage of the marketing research process?

- Hypothesis development

- Symptom identification

- **Problem identification**

- Data interpretation

(Q#4) <http://www.scribd.com/doc/27111863/Marketing-Research-and-Information-Systems-Section-A>

Question No: 8 (Marks: 1) - Please choose one

Which one of the following option refers to the set of actions and activities associated with each position one holds within a family, clubs and organizations?

- Personality

- **A role**

- ▶ Perception
- ▶ An attitude

http://www.zainbooks.com/books/marketing/principles-of-marketing_15_consumer-buying-behavior.html

Roles and Status

A person belongs to many groups—family, clubs, organizations. The person's position in each group can be defined in terms of both role and status. A role consists of the activities people are expected to perform according to the persons around them.

Question No: 9 (Marks: 1) - Please choose one

This type of segmentation centers on the use of the word “when” such as when consumers get the idea to buy, when they actually make their purchase, or when they use the purchased item. What do marketers call this?

- ▶ Behavioral
- ▶ **Occasion**
- ▶ Impulse
- ▶ Emergency

Occasion segmentation consists of dividing the market into groups according to occasions when buyers get the idea to buy, actually make their purchase, or use the purchased item.

(page 104)

http://books.google.com/books?id=kpHCdNToC14C&pg=PA104&dq=Occasion+such+as+when+consumers+get+the+idea+to+buy,+when+they+actually+make+their+purchase,+or+when+they+use+the+purchased+item&hl=en&ei=YAWFTYjQEou0v#gOspInHCA&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDcQ6AEwAw#v=onepage&q&f=false

Question No: 10 (Marks: 1) - Please choose one

Which of the following are those products purchased for further processing or for use in conducting a business?

- ▶ Unsought products
- ▶ Specialty products
- ▶ Shopping products
- ▶ **Industrial products**

Question No: 11 (Marks: 1) - Please choose one

Which of the following are a form of product that consists of activities, benefits or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything?

- ▶ Line extensions
- ▶ **Services**
- ▶ Brands
- ▶ Supplements

Services are a form of product that consist of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

Question No: 12 (Marks: 1) - Please choose one

When a company introduces additional items in a given product category under the same

brand name, such as new flavors, forms, colors, ingredients, or package sizes refers to which of the following steps?

► **Line extensions**

- Product mix
- Service variability
- Service intangibility

(page 98) **line extensions**. Existing brand names are extended to new forms, sizes, and flavors of an existing product category.

Question No: 13 (Marks: 1) - Please choose one

A threat is a major unfavorable situation in a firm's environment. Threats are key impediments to the firm's current or desired position. Which one of the following represents threat to a firm's success?

- Relaxation of international tariffs
- **The entrance of new competitors in the market**
- Undifferentiated products or services
- Cost advantages present because of advanced technology

http://university-essays.tripod.com/swot_tows_analysis.html

A threat is a major unfavourable situation in a firm's environment. Threats are key impediments to the firm's current or desired position. The entrance of new competitors, slow market growth, increased bargaining power of key buyers or suppliers, technological changes, and new or revised regulations could represent threats to a firm's success.

Question No: 14 (Marks: 1) - Please choose one

Developing and maintaining a strategic fit between the organization's goals and capabilities, and its changing marketing opportunities represent which one of the following concepts?

- Marketing objectives
- **Strategy planning**
- Marketing activities
- Corporate strategies

(page 28) **The process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities is called Strategic planning**

Question No: 15 (Marks: 1) - Please choose one

The publishers of "The Economist" developed a campaign to market the magazine to university and college students studying business and management courses. The publishers are focusing on which of the following strategies?

► **Product development (not sure)**

- Horizontal diversification
- **Market development**
- Conglomerate diversification

Question No: 16 (Marks: 1) - Please choose one

Mr. ABC examined his firm's recently completed market attractiveness-business position model; he finds that the firm's sport sunglasses unit is high on both dimensions. Which one of the following strategies would this placement dictate?

- Invest
- Harvest

► **Divest**

► Maintain

Question No: 17 (Marks: 1) - Please choose one

Chimney Sweeps employs people to clean fireplaces and chimneys in homes and apartments. The firm is primarily the marketer of which one of the following?

► An image

► **A service**

► A good

► An idea

Question No: 18 (Marks: 1) - Please choose one

Which one of the following product requires a lot of advertising, personal selling and other marketing efforts because consumer either does not know about it or knows about it but does not normally think about buying?

► Specialty products

► Shopping products

► Industrial products

► **Unsought products**

Question No: 19 (Marks: 1) - Please choose one

According to Peter Drucker goal of all organizations is to gain and retain customers. This is accomplished through:

► **Marketing and Innovation**

► Finance and Marketing

► Human resource and Marketing

► Finance and Human Resource

Question No: 20 (Marks: 1) - Please choose one

The Company, Suppliers, Marketing Intermediaries and Customers are included in the company's:

► Marketing environment

► **Microenvironment**

► Macroenvironment

► All of the given options

P#42,,a. The company itself (including departments).

b. Suppliers.

c. Marketing channel firms (intermediaries).

d. Customer markets.

e. Competitors.

f. Publics.

Question No: 21 (Marks: 1) - Please choose one

Identify three considerations companies should balance when setting their marketing strategies.

► **Company profits, society's interests, and consumer wants**

► Existing products, customer needs, and market trends

- ▶ Customer wants, integrated marketing techniques, and profit margins
- ▶ Selling concepts, product integrity, and customer base

(Q#5)http://wps.prenhall.com/bp_kotler_pom_11/31/8124/2079930.cw/index.html

Question No: 22 (Marks: 1) - Please choose one

The marketing concept expresses the company's commitment to:

- ▶ Organizational goals
- ▶ An integrated company effort
- ▶ **Consumer sovereignty**
- ▶ All of the given options

(page 83)

http://books.google.com/books?id=bqckHDepmSYC&pg=PA83&lpg=PA83&dq=marketing+concept+expresses+the+company%27s+commitment&source=bl&ots=-4GuNYNhF&sig=zWWKCLuHFr1typqFdce2v40AC-g&hl=en&ei=Eg-FTbusOYjyvwPCmNjJCA&sa=X&oi=book_result&ct=result&resnum=9&ved=0CEwO6AEwCA#v=onepage&q=marketing%20concept%20expresses%20the%20company%27s%20commitment&f=false

Question No: 23 (Marks: 1) - Please choose one

Which one of the following options best explains the purpose of intranets?

- ▶ Buying and selling processes
- ▶ Business-to-business purchasing
- ▶ **Communication among employees**
- ▶ Maintaining customer relations

http://books.google.com/books?id=PnERvpCI5QYC&pg=PA51&dq=societal+marketing+concept&hl=en&ei=wkGBTZyhMsPhrAfUINGyBw&sa=X&oi=book_result&ct=result&resnum=2&sqi=2&ved=0CC0Q6AEwAQ#v=snippet&q=intranets&f=false

Question No: 24 (Marks: 1) - Please choose one

Which of the following steps in strategic planning occurs at the business unit level rather than the corporate level?

- ▶ Defining the company mission
- ▶ **Planning marketing strategies**
- ▶ Setting companies objectives and goals
- ▶ Designing the business portfolio

http://wps.prenhall.com/bp_armstrong_mai_7/19/5037/1289678.cw/index.html

Question No: 25 (Marks: 1) - Please choose one

Which of the following is the study of the human population in terms of size, density, locations, gender, race, occupation and other statistics.

- ▶ Psychographics
- ▶ **Demography**
- ▶ Philosophy
- ▶ Social psychology

P#25,,Demography is the study of human populations in terms of size, density, location, age, sex, race, occupation, and other statistics

Question No: 26 (Marks: 1) - Please choose one

To develop effective marketing programs, companies need information on which of the following?

- ▶ Consumers
- ▶ Competitors
- ▶ Resellers

▶ **All of the given options**

http://wps.prenhall.com/bp_kotler_pom_10/0,,594806-,00.html

Question No: 27 (Marks: 1) - Please choose one

How is online marketing research conducted?

▶ **By collecting primary data through internet surveys and online focus groups**

- ▶ By collecting secondary data through the internet
- ▶ By collecting primary data through the secondary websites
- ▶ None of the given options

Question No: 28 (Marks: 1) - Please choose one

Identify the three decisions made when designing a sampling plan.

▶ **Identifying the sampling unit, sample size and the sampling procedure**

- ▶ Identifying the research problem, designing the research plan and implementing it
- ▶ Identifying the sampling unit, constructing a research design and the sampling procedure
- ▶ Identifying the research plan, planning a sample size and market segmentation

(Q#25) <http://www.scribd.com/doc/22324509/kotler04-Conducting-Marketing-Research-and-Forecasting-Demand>

Question No: 29 (Marks: 1) - Please choose one

Which of the following are NOT consider to be stimuli that enter as inputs into the model of buyer behavior?

- ▶ Cultural Factors
- ▶ Economic Factors
- ▶ Marketing Mix

▶ **Post purchase Behavior**

(page 62)Marketing stimuli consist of the four Ps: product, price, place, and promotion. Other stimuli include major forces and events in the buyer's environment: economic, technological, political, and cultural.

Question No: 30 (Marks: 1) - Please choose one

The tendency for people to screen out most of the information to which they are exposed is called:

▶ **Selective Attention**

- ▶ Selective Retention
- ▶ Selective Distortion
- ▶ None of the given option

The tendency for people to screen out most of the information to which they are exposed is called Selective Attention

http://books.google.com.pk/books?id=Lx5dxjc_Kq0C&pg=PA207&lpg=PA207&dq=Which+of+the+following+are+the+products+bought+by+individuals+and+organizations+for+further+processing+or+for+use+in+conducting+a+business%3F&source=bl&ots=xbEGBr0aWO&sig=EPiR9ZLiXk1iATwkita2wgUAOCc&hl=en&ei=JSkSTf2_NouOjAekkKn2BQ&sa=X&oi=book_result&ct=result&resnum=5&ved=0CD

[MQ6AEwBA#v=snippet&q=tendency%20for%20people%20to%20screen%20out%20most%20of%20the%20information%20&f=false](#)

Question No: 31 (Marks: 1) - Please choose one

KPV firm has limited resources. Which marketing strategy would you suggest that KPV should adopt?

▶ **Concentrated Marketing**

- ▶ Differentiated Marketing
- ▶ Undifferentiated Marketing
- ▶ None of the given option

P#87,,Concentrated Marketing

A third market-coverage strategy, concentrated marketing, is especially appealing when company resources are limited.

Question No: 32 (Marks: 1) - Please choose one

All of the following are characteristics which make up the actual product EXCEPT:

- ▶ Quality level
- ▶ Brand Name
- ▶ Features

▶ **After-sales services**

The actual product may have as many as five characteristics that combine to deliver core product benefits. They are:

- a). Quality level.**
- b). Features.**
- c). Design.**
- d). Brand name.**
- e). Packaging**

Question No: 33 (Marks: 1) - Please choose one

Mr. A started his business by manufacturing small cheaper cars. As his business blossomed he decided to manufacture expensive luxury cars to add prestige to his current products. Mr. A was stretching his product line:

- ▶ Upwards
- ▶ **Downwards (not sure)**
- ▶ Both ways
- ▶ None of the given options

Question No: 34 (Marks: 1) - Please choose one

At the maturity stage of the life cycle, the company has an opportunity to prolong the life of its products in many ways. When a company tries to _____ the company is trying to increase the consumption of the current product

- ▶ Substitute the product
- ▶ Modify the distribution channel
- ▶ **Modify the market**
- ▶ Modify the product

<http://free-books-online.org/accounting/fundamentals-of-auditing/a-new-product-development/>

a. Market modification is an approach in which the company tries to increase the consumption of the current product.

Paper 7

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session - 2)

Question No: 1 (Marks: 1) - Please choose one≈

When Olympia Carpets develops new carpets that are highly stain resistant and durable, it must educate consumers about the product's benefits. This activity calls for which one of the following marketing mix variables?

- ≈ Price
- ≈ Promotion
- ≈ Distribution
- ≈ **Product**

Question No: 2 (Marks: 1) - Please choose one

Building, keeping and growing profitable value-laden relationships with all customers of a company refers to which of the following options?

- ≈ Customer lifetime value
- ≈ Customer perceived value
- ≈ **Customer relationship management**
- ≈ Societal marketing

(Q#18) http://wps.pearsoned.co.uk/ema_uk_he_harker_mktgintro_1/127/32607/8347583.cw/content/index.html

Question No: 3 (Marks: 1) - Please choose one

If a local company wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies

- ≈ Focusing on today is important for us
- ≈ Making money is our business

≈ **The customer is always right**

≈ Keeping prices low is our objective

Question No: 4 (Marks: 1) - Please choose one

Advertising agencies are an example of which of the following marketing intermediaries?

≈ Insurance company

≈ Financial intermediary

≈ Marketing services agency

≈ Physical distribution firm

(page 43) Marketing service agencies (such as marketing research firms, advertising agencies,

Question No: 5 (Marks: 1) - Please choose one

Which type of management is responsible for setting the company's mission, objectives, broad strategies and policies?

≈ Top management

≈ Middle level management

≈ Low level management

≈ Functional management

(page 42) Top management is responsible for setting the company's mission, objectives, broad strategies, and policies.

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is **NOT** a part of the macro-environment?

≈ Demographic forces

≈ Natural forces

≈ Competitors' forces

≈ Political forces

(page 41) The macro environmental components are thought to be: demographic, economic, natural, technological, political, and cultural forces.

Question No: 7 (Marks: 1) - Please choose one

The objective of which of the following research is to gather preliminary information that will help define the problem and suggest hypotheses?

≈ Descriptive

≈ Exploratory

≈ Causal

≈ Corrective

(page 55) Exploratory research where the objective is to gather preliminary information that will help to better define problems and suggest hypotheses for their solution.

Question No: 8 (Marks: 1) - Please choose one

Which method of research can be used to obtain information if people are unwilling or unable to provide?

≈ Observations

≈ Focus groups

≈ Personal interviews

≈ Questionnaires

(page 56) Observational research can be used to obtain information that people are unwilling or unable to provide.

Question No: 9 (Marks: 1) - Please choose one

The mental act, condition or habit of placing trust or confidence in another shows which of the following options?

≈ Motive

≈ Belief

≈ Behavior

≈ Attitude

Belief: the mental act, condition, or habit of placing trust or confidence in another.

<http://www.spirithome.com/definif.html>

Question No: 10 (Marks: 1) - Please choose one

Income segmentation is used to target which of the following groups?

≈ Affluent

≈ Middle class

≈ Lower income class

≈ All of the given options

9. Income segmentation is used to target the _____.

a. affluent

b. middle class

c. lower income class

d. all of the above

e. none of the above

(Answer: d; p. 168; Moderate)

Chapter 7

Question No: 11 (Marks: 1) - Please choose one

Which of the following factors are often used for segmenting customer groups?

≈ Geographic factors

≈ Psychographic factors

≈ Behavioral factors

≈ Demographic factors

(page 84) Demographic factors are the most popular bases for segmenting customer groups

Question No: 12 (Marks: 1) - Please choose one

The purpose of idea generation is to create a _____ of ideas. The purpose of succeeding stages is to _____ that number.

≈ Small number; reduce

≈ Small number; increase

≈ Large number; increase

≈ Large number; reduce

(page 102) The purpose of idea generation is to create a large number of ideas. The purpose of the succeeding stages is to *reduce* that number.

Question No: 13 (Marks: 1) - Please choose one

Which one of the following forces is **NOT** the part of company's macro environment?

≈ Demographic

≈ Economic

≈ Political

≈ Public

(page 41) The macro environmental components are thought to be: demographic, economic, natural, technological, political, and cultural forces.

Question No: 14 (Marks: 1) - Please choose one

Mr. ABC has just brainstormed a large number of ideas for adding new products and services after visiting several buying fairs. The owners will begin the first idea-reducing stage to select the good ideas and drop the poor ones. What is another name of idea reducing stage

≈ Idea generation

≈ Idea screening

≈ Product concept

≈ Concept development

1. GrayBerry Gifts has just brainstormed a large number of ideas for adding new products and services after visiting several buying fairs. The owners will begin the first idea-reducing stage called _____ to arrive at a realistic number to adopt.

- a. idea generation
- b. idea screening
- c. product concept
- d. concept development
- e. idea dissemination

(Answer: b; p. 242; Easy)

Chapter 9

Question No: 15 (Marks: 1) - Please choose one

The managers of a firm are providing all the facilities and assistance that a customer demands. As a result of their efforts the customers are satisfied and

the firm is enjoying huge profits. The efforts of the manager are considered as part of

≈ Customer Relationship Management

- ≈ Total Quality Management
- ≈ Supply chain Management
- ≈ Customer Acknowledgement

Question No: 16 (Marks: 1) - Please choose one

A movie was greatly promoted as having a lot of actions and special effects. When the people went to see the movie it was not according to the expectations of the people. In this case the people were:

≈ Satisfied

≈ Dissatisfied

- ≈ Overjoyed
- ≈ All of the given options

Question No: 17 (Marks: 1) - Please choose one

A product fulfilled all the expectations that were advertised during the launching of the product. Thus the customers using the product should be:

≈ Satisfied

- ≈ Dissatisfied
- ≈ Disappointed
- ≈ All of the given options

Question No: 18 (Marks: 1) - Please choose one

To persuade people to purchase non essential goods and services which of the following concepts would prove more fruitful?

- ≈ Production Concept

≈ Product Concept

≈ Selling Concept

≈ Marketing Concept

(page25)

http://books.google.com/books?id=lf7VKtZcJlqC&pg=PA25&lpg=PA25&dq=To+persuade+people+to+purchase+non+essential+goods+and+services&source=b&ots=eOxk5xNM6v&sig=4RwZOWbsfE9YZ8NV6Oo38o7ISRk&hl=en&ei=R4uD TY7NOMSHrAeV2uC8CA&sa=X&oi=book_result&ct=result&resnum=7&ved=0CDwQ6AEwBg#v=onepage&q&f=false

Question No: 19 (Marks: 1) - Please choose one

McDonald runs an advertisement featuring children, seniors, citizens and minority groups. What does this ad show?

≈ Company is product oriented

≈ Company considers only environmental factors

≈ Company has several target markets

≈ Company is market oriented

(question 16) <http://www.scribd.com/doc/27111819/An-Overview-of-Strategic-Marketing-Section-B>

Question No: 20 (Marks: 1) - Please choose one

Which of the following entities of a company has a separate mission and objectives which can be planned independently from other company businesses.

≈ Business Portfolio

≈ Strategic Business Unit

≈ Product Line

≈ None of the given

(page 31)(SBU) is a unit of the company that has a separate mission and objectives and which can be planned independently from other company businesses

Question No: 21 (Marks: 1) - Please choose one

The steps comprising the marketing control process in ascending order are:

≈ Measure performance – evaluate performance – corrective action – set goals

≈ Corrective action – set goals - measure performance – evaluate performance

≈ Set goals - Measure performance – evaluate performance - corrective action

≈ Set goals - Measure performance – corrective action – evaluate performance

(page 39)

1). Set specific goals (What do we want to achieve?).

2). Measure performance (What is happening?).

3). Evaluate performance (Why is it happening?).

4). Take corrective action (What should we do about it?).

Question No: 22 (Marks: 1) - Please choose one

Which of the following options indicate a company's macro environment?

≈ Demographic, economic, natural, technological, political and social

≈ Demographic, natural, economic, political, social and cultural

≈ Demographic, economic, natural, technological, political and cultural

≈ Demographic, economic, natural, social, political and legal

(page 41) The macro environmental components are thought to be: demographic, economic, natural, technological, political, and cultural forces

Question No: 23 (Marks: 1) - Please choose one

Why is business legislation enacted?

≈ To protect consumers

≈ To protect companies from each other

≈ To protect the interest of the society

≈ All of the given options

(slide 44) <http://www.slideshare.net/michaelcloke/analyzing-the-marketing-environment-6528051>

Question No: 24 (Marks: 1) - Please choose one

MIS activities begin and end with which of the following?

≈ Information Users

- ≈ Distributors
- ≈ Competitors
- ≈ Upper Management

(page 50) (MIS) begins and ends with the user

Question No: 25 (Marks: 1) - Please choose one

To develop effective marketing programs, companies need information on which of the following?

- ≈ Consumers
- ≈ Competitors
- ≈ Resellers

≈ All of the given options

(Q#1)http://wps.prenhall.com/bp_kotler_pom_10/0,,594806-,00.html

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the disadvantages of survey research?

- ≈ Survey research is not flexible
- ≈ The respondents can give inaccurate answers
- ≈ It is difficult to collecting primary data with survey research

≈ All of the given options

The major advantage of this approach is flexibility while the disadvantages include the respondent being unwilling to respond, giving inaccurate answers, or unwilling to spend the time to answer. Pg 56

Question No: 27 (Marks: 1) - Please choose one

A successful marketer keeps track of a person's needs as he grows. When he is a child the marketer and his company may design toys for their customer. When he becomes an adult the company may start producing ties and shirts. In this case the marketer is looking at which factor of the consumer behavior?

≈ Age and life cycle

- ≈ Occupation
- ≈ Economic situation
- ≈ Roles and status

:P#66,,Age and Life-Cycle Stage

People change the goods and services they buy over their lifetimes. Tastes in food, clothes, furniture, and recreation are often age related.

Question No: 28 (Marks: 1) - Please choose one

A term that describes the tendency of people to interpret information in a way that will support what they already believe is called:

- ≈ Selective Attention
- ≈ Selective Retention

≈ Selective Distortion

- ≈ None of the given option

(page 118)http://books.google.com/books?id=7d7jrY_q-XYC&pg=PA118&dq=the+tendency+of+people+to+interpret+information+in+a+way+that+will+support+what+they+already+believe+is&hl=en&ei=xh2STfPECs6PcdTqqIkH&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=the%20tendency%20of%20people%20to%20interpret%20information%20in%20a%20way%20that%20will%20support%20what%20they%20already%20believe%20is&f=false

Question No: 29 (Marks: 1) - Please choose one

MR.Y goes to the convenience store every Saturday to buy groceries, such as salts, vegetables, fruits and rice. This behavior of Mr. Y is an example of:

- ≈ Complex Buying Behavior
- ≈ Variety Seeking Buying Behavior
- ≈ Dissonance Reducing Buying Behavior

≈ Habitual Buying Behavior

Habitual buying behavior occurs under conditions of low consumer involvement and little significant brand difference. For example, take salt.

Question No: 30 (Marks: 1) - Please choose one

Manufacturers of surf excel are successful in making their product occupy a desirable place in the hearts of its customers. Now surf excel is considered as a powerful all purpose family detergent. The marketers have successfully _____ its product.

≈ Differentiated

≈ Targated

≈ **Positioned**

≈ Segmented

P#88,,Tide is positioned as a powerful, all-purpose family detergent; In the automobile market, Toyota and Subaru are positioned on economy, Mercedes and Cadillac on luxury Consumers are overloaded with information about products andservices.

Question No: 31 (Marks: 1) - Please choose one

“Consumers segments that have similar needs and buying behavior even though they are located in different countries” refers to which of the following segmentation?

≈ International marketing segmentation

≈ Consumer marketing segmentation

≈ Business marketing segmentation

≈ **Intermarket segmentation**

- 116. Doral Machinery International forms segments of consumers who have similar needs and buying behavior even though they are located in different countries. What is this form of segmentation called?**
- a. Political and legal.**
 - b. Cross-cultural.**
 - c. Effective.**
 - d. Intermarket.**
 - e. Individual.**

(Answer: d; p. 176; Easy [Chapter 7](#))

Question No: 32 (Marks: 1) - Please choose one

Shakeel just moved into a new city. He is a very successful man and would like to purchase a luxurious car and designer clothes. These products are examples of:

≈ Convenience Products

≈ Shopping Products

≈ Specialty Products

≈ Unsought Products

P#93,,Specialty products are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort. Examples include specific brands and types of cars, high priced photographic equipment, designer clothes, and the services of medical or legal specialists.

Question No: 33 (Marks: 1) - Please choose one

Identify the other market offerings marketers have broadened the concept of "product" to include.

≈ Organizations, persons and places

≈ Ideas, services and organization

≈ Places, organizations and times

≈ None of the given options

http://books.google.com/books?id=Lx5dxjc_Kq0C&pg=PR28&dq=principle+of+marketing+kotler+13th&hl=en&ei=JjqCTZSvDs_IrQfhqc3dCA&sa=X&oi=book_result&ct=result&resnum=8&ved=0CFUQ6AEwBw#v=onepage&q=broadened%20the%20concept%20of%20%22product&f=false P#208

Another

In addition to tangible products and services, in recent years marketers have broadened the concept of a product to include other "marketable entities" namely, organizations, persons, places, and ideasP#94

Question No: 34 (Marks: 1) - Please choose one

At the _____ stage in the product life cycle, educating the market remains a goal, but now the company also needs to meet the competition.

≈ Growth

≈ Maturity

≈ Decline

≈ All of the given options

(page 4) <http://www.docstoc.com/docs/14516989/Product-Life-Cycle>

Paper 8

MIDTERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which one of the following statements by a company chairman **BEST** reflects the marketing concept?

▶ **We have organized our business to satisfy the customer needs**

- ▶ We believe that marketing department must organize to sell what we produce
- ▶ We try to produce only high quality, technically efficient products
- ▶ We try to encourage company growth in the market

<http://www.brainmass.com/homework-help/business/marketing/87074>

Question No: 2 (Marks: 1) - Please choose one

Some banks have increased their market share by offering accounts especially for children in another city. This example illustrates which of the following growth strategies?

▶ **Market penetration**

- ▶ Market development
- ▶ Horizontal diversification
- ▶ Conglomerate diversification

Question No: 3 (Marks: 1) - Please choose one

Person's pattern of living as expressed in his or her psychographics represents which one of the following concept?

- ▶ Personality
- ▶ Culture

▶ **Lifestyle**

- ▶ Motive

<http://www.funnelbrain.com/c-284368-persons-pattern-living-expressed-activities-interests-opioni.html>

(Slide 9)

http://docs.google.com/viewer?a=v&q=cache:9bfgZRfx1gUJ:www.imsciences.net/uploads/second-semester/1-Marketing-Consumer-and-Business-Buyer-Behavior.ppt+pattern+of+living+as+expressed+in+his+or+her+psychographics+represents&hl=en&pid=bl&srcid=ADGEESiZIUQc16O0wGxWrhLKGPhtz3Z0LHWKMQQD7VoAS_uiGm9CjFPtxabg-ppDKzdsLiloZ1B0Q4d7dB53GsRpOqoYZC2s3Ak2eQGDjdoMpgRviX4nw2GusqoBT0qd7qg7LdCEChRP&sig=AHIEtbTswbkmNnt_RQ7TZSgSOZINOKmdmg&pli=1

Question No: 4 (Marks: 1) - Please choose one

Inelastic demand in industrial markets refers to which of the following situation?

▶ Demand for a given product fluctuates very little over time.

▶ **Price increases or decreases will not significantly alter demand for a given product.**

▶ The demand for one product depends heavily on the demand for another product.

▶ Supply for a given product cannot keep up with the demand for it.

(Q#7) <http://www.scribd.com/doc/27111875/Organisational-Markets-and-Buying-Behaviour-Section-A>

Question No: 5 (Marks: 1) - Please choose one

Income segmentation is used to target which of the following groups?

▶ Affluent

▶ Middle class

▶ Lower income class

▶ **All of the given options**

(question 15) <http://wenku.baidu.com/view/c9c9e085b9d528ea81c77986.html>

10. Income segmentation is used to target the ____.

a. affluent

b. middle class

c. lower income class

d. all of the above

e. none of the above

(Answer: d; p. 168; Moderate)

Question No: 6 (Marks: 1) - Please choose one

Which of the following are those products purchased for further processing or for use in conducting a business?

▶ Unsought products

▶ Specialty products

▶ Shopping products

▶ **Industrial products**

(page 194)

http://books.google.com/books?id=cRsxku7O06UC&pg=PA194&dq=products+purchase+d+for+further+processing+or+for+use+in+conducting+a+business&hl=en&ei=b3aETZaIEoS6vQOPjuHdCA&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=products%20purchased%20for%20further%20processing%20or%20for%20use%20in%20conducting%20a%20business&f=false

Question No: 7 (Marks: 1) - Please choose one

Which one of the following factor indicates "the name, term, sign, symbol, design or a combination of these that differentiate the product of one seller or group of sellers from the other sellers"?

▶ **Brand**

▶ Package

▶ Label

▶ Style

(page 104)

<http://books.google.com/books?id=pawGH8XXIVkC&pg=PA104&lpg=PA104&dq=the+name,+term,+sign,+symbol,+design+or+a+combination+of+these+that+differentiate+th>

[e+product+of+one+seller+or+group+of+sellers+from+the+other+sellers%22?&source=bl&ots=m5oEkbxAF8&sig=5aB650HQSyiZBQbxwD5bN7WCVF4&hl=en&ei=p3aETbDHcYekvQO-nNjHCA&sa=X&oi=book_result&ct=result&resnum=9&ved=0CEwQ6AEwCA#v=onepage&q=the%20name%20of%20these%20that%20differentiate%20the%20product%20of%20one%20seller%20or%20group%20of%20sellers%20from%20the%20other%20sellers%22%3F&f=false](http://www.google.com/search?q=the%20name%20of%20these%20that%20differentiate%20the%20product%20of%20one%20seller%20or%20group%20of%20sellers%20from%20the%20other%20sellers%22%3F&f=false&source=bl&ots=m5oEkbxAF8&sig=5aB650HQSyiZBQbxwD5bN7WCVF4&hl=en&ei=p3aETbDHcYekvQO-nNjHCA&sa=X&oi=book_result&ct=result&resnum=9&ved=0CEwQ6AEwCA#v=onepage&q=the%20name%20of%20these%20that%20differentiate%20the%20product%20of%20one%20seller%20or%20group%20of%20sellers%20from%20the%20other%20sellers%22%3F&f=false)

Question No: 8 (Marks: 1) - Please choose one

Customer service is another element of product strategy. The first step is to survey customers periodically to assess the value of current services and to obtain ideas for new ones. From this careful monitoring, marketer has learned that buyers are very upset by repairs that are not done correctly the first time. What is the name of these types of services?

- ▶ Brand equity services
- ▶ **Product support services**
- ▶ Social marketing services
- ▶ Unsought product services

Chapter 9

1. Customer service is another element of product strategy. The first step is to survey customers periodically to assess the value of current services and to obtain ideas for new ones. From this careful monitoring, Cadillac has learned that buyers are very upset by repairs that are not done correctly the first time. What is the name of these types of services?
 - a. brand equity services
 - b. product support services
 - c. social marketing services
 - d. unsought product services

(b; Challenging; p. 288)

Question No: 9 (Marks: 1) - Please choose one

A review of the sales, costs and profit projections for a new product to find out whether they satisfy the company's objectives refers to which one of the following concepts?

- ▶ Business feasibility
- ▶ Feasibility study
- ▶ **Business analysis**
- ▶ Product acceptance

Business analysis involves a review of the sales, costs, and profit projections to find out whether they satisfy the company's objectives
http://webcache.googleusercontent.com/search?q=cache:oXzSOcz6zKwJ:https://secure.suu.edu/faculty/robertsw/AAA%2520MKTG%25203010%252013th%2520ed%2520F%252010/Powerpoint%2520CRS/ch09/kotler13e_crs_09.ppt+A+review+of+the+sales,+costs+and+profit+projections+for+a+new+product+to+find+out+whether+they+satisfy&cd=4&hl=en&ct=clnk&source=www.google.com

Question No: 10 (Marks: 1) - Please choose one

If the company's sales are slow down, and profits level off or decline. At which stage the company has reached?

- ▶ Introduction
- ▶ Decline
- ▶ Growth
- ▶ **Maturity**

Maturity is a period of slower sales growth because the product has achieved acceptance by most potential buyers. Profits level off or decline because of increased marketing outlays

(page 236)

http://books.google.com/books?id=cRsxku7O06UC&pg=PA236&dq=If+the+company%E2%80%99s+sales+are+slow+down,+and+profits+level+off+or+decline&hl=en&ei=nnmETZ_CiYOevQPfybXZCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=If%20the%20company%E2%80%99s%20sales%20are%20slow%20down%2C%20and%20profits%20level%20off%20or%20decline&f=false

Question No: 11 (Marks: 1) - Please choose one

Identify the first step in a strategic planning process.

- ▶ **Define the company's mission**
- ▶ Develop the business portfolio
- ▶ Plan marketing strategies
- ▶ Set objectives and goals

(page 29) The first step in the strategic planning process is defining the company mission

Question No: 12 (Marks: 1) - Please choose one

Buying goods and services for further processing or for use in the production process refers to which of the following markets?

- ▶ Consumer markets
- ▶ Government markets
- ▶ **Business markets**
- ▶ International markets

(page 43) Business markets (buy goods and services for further processing or for use in their production process).

Question No: 13 (Marks: 1) - Please choose one

Which one of the following sets represents 4 C's of the marketing mix?

- ▶ **Customer solution, cost, convenience, communication**
- ▶ Customer, cost, convenience, comfort
- ▶ Convenience, communication, coverage, cost
- ▶ Cost, coverage, communication, consultancy

(page 37) Perhaps a better classification would be the 4 Cs:

a). Product = Customer Solution.

b). Price = Customer Cost.

c). Place = Convenience.

d). Promotion = Communication

Question No: 14 (Marks: 1) - Please choose one

The managers of a firm are providing all the facilities and assistance that a customer demands. As a result of their efforts the customers are satisfied and the firm is enjoying huge profits. The efforts of the manager are considered as part of:

► **Customer Relationship Management**

- Total Quality Management
- Supply chain Management
- Customer Acknowledgement

Question No: 15 (Marks: 1) - Please choose one

MR.Y invested Rs.50000 in a fan manufacturing company. MR Y is a _____ of the company.

- Stakeholder

► **Stockholder (review again)**

- Customer
- All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which one of the following option refers to “The art and science of choosing target markets and building profitable relationships?”

- Customer Relationship Management
- Knowledge Management
- Total Quality Management

► **Marketing Management**

<http://lindaweeks.com/mktgweek1.htm>

Marketing management -- The art and science of choosing target markets and building profitable relationships with them

Question No: 17 (Marks: 1) - Please choose one

The selling concept is typically practiced for _____ goods.

- Convenience
- Shopping
- Specialty

► **Unsought**

(page 223) this concept is typically practiced with unsought goods (those that buyers do not normally think of buying).

Question No: 18 (Marks: 1) - Please choose one

NAFTA is a trade agreement between:

- **America, Canada and Mexico**
- America, France and Canada
- Germany, Russia and America
- China, Pakistan and India

<http://www.investopedia.com/terms/n/nafta.asp>

A trade agreement between Canada, the United States and Mexico that encourages free trade between these North American countries.

Question No: 19 (Marks: 1) - Please choose one

What are the skills that a marketer should possess to successfully achieve the goals of an organization?

- ▶ Neither creativity nor critical thinking skills
- ▶ **Both creativity and critical thinking skills**
- ▶ Critical thinking skills but not creativity
- ▶ Creativity but not critical thinking

Q#10 <http://www.oup.com/uk/orc/bin/9780199290437/01student/cqs/ch01/>

Question No: 20 (Marks: 1) - Please choose one

What does this statement show “Trade of value between two parties”?

- ▶ Competition
- ▶ **Transaction**
- ▶ Agreement
- ▶ Need

(page 11) a transaction (a trade of values between two parties)

Question No: 21 (Marks: 1) - Please choose one

Marketing management functions in ascending order are:

- ▶ Control – implementation – market planning
- ▶ Market planning – control – implementation
- ▶ Implementation – control – market planning
- ▶ **Marketing planning – implementation - control**

(page 14) Marketing Management is defined as the analysis, planning, implementation, and control

Question No: 22 (Marks: 1) - Please choose one

In a marketing plan analyzing and reviewing the product, competition, market and the distribution is included in:

- ▶ Threats and opportunity analysis
- ▶ Objectives and issues
- ▶ Marketing strategy
- ▶ **Current marketing situation**

(page 79)http://books.google.com/books?id=F-5gKE_EuFAC&pg=PA79&dq=Current+marketing+situation&hl=en&ei=9OvETYSBLISevQP_vem8CA&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDYQ6AEwAg#v=onepage&q=Current%20marketing%20situation&f=false

Question No: 23 (Marks: 1) - Please choose one

Neighborhood residents and community organizations comprise part of a firm's:

- ▶ **Local Publics**
- ▶ General Publics
- ▶ Governmental Publics
- ▶ Financial Publics

(page 43)Local publics--includes neighborhood residents and community organizations

Question No: 24 (Marks: 1) - Please choose one

Why is the demographic environment a major interest to marketers?

- ▶ Because it involves global financing
- ▶ **Because it involves people and people make up markets**
- ▶ Because demographics involve diverse consumer products
- ▶ Because demographics focus on local marketing opportunities

(page 8)<http://www.scribd.com/doc/15587729/Global-Marketing>

(page106)

http://books.google.com/books?id=xye9Jf04Rv4C&pg=PA106&dq=Why+is+the+demographic+environment+a+major+interest+to+marketers?&hl=en&ei=VKKETb7IloKmuAOrrroHQCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC0Q6AEwAQ#v=onepage&q=Why%20is%20the%20demographic%20environment%20a%20major%20interest%20to%20marketers%3F&f=false

Question No: 25 (Marks: 1) - Please choose one

MIS activities begin and end with which of the following?

► **Information Users**

- Distributors
- Competitors
- Upper Management

(page50) (MIS) begins and ends with the user.

Question No: 26 (Marks: 1) - Please choose one

ABC Company wants to know why the demand of its product is declining. For this purpose the company should perform :

► **Marketing research**

- Product development
- Image development
- All of the given options

<http://www.strategicmarketsegmentation.com/decline-stage/>

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT one of the problems typically associated with secondary data?

- It may not exist
- It might not be current
- It might not be impartial
- **It is too expensive to obtain**

(page 56)

1. The needed information might not exist.
2. Even if the data is found, it might not be useable.
3. The researcher must evaluate secondary information to make certain it is relevant,
accurate, current, and impartial. Secondary data is a good starting point; however, the company will often have to collect primary data.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements regarding research is TRUE?

- Customers will generally gladly provide information to researchers if it would add value to the products
- Customers will generally give information when they are given compensation for their time
- Customers do not care about the value delivered by their participation in research studies
- All of the given options

Question No: 29 (Marks: 1) - Please choose one

How is online marketing research conducted?

► **By collecting primary data through internet surveys and online focus groups**

- By collecting secondary data through the internet
- By collecting primary data through the secondary websites
- None of the given options

(page98)

http://books.google.com/books?id=cRsxku7O06UC&pg=PA98&dq=collecting+primary+data+through+internet+surveys+and+online+focus+groups&hl=en&ei=ENWETd2dLoeGvgPyybnRCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC8Q6AEwAQ#v=onepage&q=collecting%20primary%20data%20through%20internet%20surveys%20and%20online%20focus%20groups&f=false

Question No: 30 (Marks: 1) - Please choose one

An American fast food started its business in Pakistan but failed to make a profit. After performing a marketing research the managers found out that there food was not spicy enough. The managers failed to consider which of the following factor?

► **Cultural differences (review again)**

- Lifestyle differences
- Beliefs and attitudes
- Social class

Question No: 31 (Marks: 1) - Please choose one

A term that describes the tendency of people to interpret information in a way that will support what they already believe is called:

- Selective Attention
- Selective Retention

► **Selective Distortion**

- None of the given option

(slide 23)<http://www.slideshare.net/michaelclove/consumer-markets-and-consumer-buyer-behavior>

Question No: 32 (Marks: 1) - Please choose one

When a company decides to go after a large share of one or a few smaller segment instead of going after a small share of a large market, the company is practicing:

- Mass marketing
- Segment marketing

► **Niche marketing**

- All of the given options

Chapter 7

Concentrated or niche marketing goes after a large share of one or a few segments or niches instead of going after a share of a large market

Question No: 33 (Marks: 1) - Please choose one

When Sony TV extended its brand into new product categories including webcams, mobiles, DVD players, printers,etc. Sony was engaged in _____

► **Brand Extension**

- Line Extensions
- Multi Brands

- ▶ New Brands

(page 98) brand extensions. Existing brand names are extended to new or modified product categories.

Question No: 34 (Marks: 1) - Please choose one

At the _____ stage in the product life cycle, educating the market remains a goal, but now the company also needs to meet the competition.

▶ **Growth**

- ▶ Maturity
- ▶ Decline
- ▶ All of the given options

Growth Stage

Educating the market remains a goal, but now the company must also meet the competition.

<http://gm.xmu.edu.cn/ews/business/pmarketing/chapter09.htm>